Understanding Multilateral Tariffs and Exchange Rates*

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Abstract

The standard prediction that an import tariff appreciates the tariffing country's currency comes from a two-country setting, where the bilateral exchange rate, effective exchange rate, and the terms of trade coincide. In a multilateral setting, these measures separate and respond differently to tariffs. Under symmetric trade relationships, we show that a unilateral tariff appreciates the effective exchange rate but can depreciate the home currency against untariffed bystanders when substitution across foreign suppliers is sufficiently elastic. Tariff retaliation can instead lead both counterparts to depreciate in effective terms. These results are robust to moderate asymmetry, but under strong asymmetry, tariffs on small trading partners can worsen the tariffing country's terms of trade and reduce welfare when foreign suppliers are sufficiently close substitutes. We use the framework to contrast exchange-rate responses during the 2025 tariff episode.

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1 Introduction

What happens to exchange rates when a country imposes a tariff? In the standard two-country model, a tariff shifts expenditure away from imports and improves the trade balance at the prevailing exchange rate. Under the Marshall–Lerner condition, external balance is restored through an appreciation of the tariffing country's currency (Dornbusch, 1974; Krugman, 1982). Because there is only one trading partner, the bilateral exchange rate is also the effective exchange rate. In the long run, in real terms, this same relative price also governs the terms of trade. Thus, in the simplest bilateral setting, the bilateral exchange rate, the effective exchange rate, and the long-run terms of trade all necessarily coincide.

These concepts separate once trade is multilateral. A tariff on one partner changes not only the relative price of foreign and domestic goods, but also relative prices across foreign suppliers. It can therefore affect the exchange rate against the target, the rates against untariffed bystanders, and the effective exchange rate differently. In any differentiable multi-country trade environment, we show that the first-order response can be represented as the adjustment of exchange rates to a vector of tariff-induced trade-balance disturbances. We define a multilateral Marshall–Lerner condition, implied by gross substitutability of trade balances in currency values, that ensures well-behaved adjustment. Crucially, we show that even under this condition, the sign of an individual bilateral exchange-rate response is not determined. A tariff therefore need not appreciate the tariffing country's currency against every partner.

We first answer this question in a general trade environment under symmetry among trading partners. We show that any vector of multilateral tariff changes decomposes into average protection and relative treatment. Average protection uniquely determines the change in the nominal effective exchange rate, while relative treatment determines the relative changes in bilateral exchange rates. Under a unilateral tariff, these two components reinforce each other against the targeted partner but work in opposite directions against untariffed bystanders. The response against bystanders is therefore ambiguous and depends on the structure of the trade environment.

To characterize these counteracting effects, we develop a nested CES Armington model that distinguishes substitution between domestic and foreign goods from substitution across foreign suppliers. Substitution toward domestic goods supports the conventional appreciation, while substitution across foreign suppliers shifts expenditure toward untariffed countries and strengthens their currencies relative to the tariffing country. Allowing these two margins to differ, we show that the tariffing country can depreciate against an untariffed bystander when cross-foreign substitution is sufficiently strong relative to home-foreign sub-

stitution, but this outcome cannot arise with a single elasticity across domestic and foreign varieties. Empirical estimates distinguishing cross-foreign from home-foreign substitution support treating these margins separately (Broda and Weinstein, 2006; Feenstra et al., 2018; Li et al., 2022).

The same mechanisms extend naturally from unilateral tariffs to retaliation and multilateral trade wars. When the target retaliates with an equal tariff, the average-protection effects on the bilateral exchange rate cancel, while the relative-treatment effects reinforce each other against third countries. As a result, the threshold for depreciation against bystanders is substantially lower than under a unilateral tariff. In a multilateral trade war, in which every partner retaliates against the tariffing country, the same condition leads it to depreciate against every partner.

Our trade framework is deliberately stylized and is not intended to provide a quantitative account of the 2025 tariff episode, but it nonetheless offers a new perspective on the exchange-rate movements during this period. The dollar's depreciation following the tariff announcements was initially interpreted in part as evidence of higher risk premia, declining convenience yields, and concerns about the dollar's global role (Itskhoki and Mukhin, 2025; Kalemli-Özcan et al., 2026). Applying our framework to the broad features of the episode, we show that dollar depreciation need not originate outside the trade channel, particularly when retaliation is expected. Consistent with this explanation, Ostry et al. (2025) document that the dollar tends to appreciate following unilateral US tariffs, depreciate when trading partners retaliate, and remain comparatively stable against the renminbi during US–China tit-for-tat episodes. They hypothesize that dominant-currency pricing may help explain this pattern. Our results show that the same pattern can arise from canonical trade substitution and diversion effects once trade and exchange-rate adjustment is considered in a multilateral setting.

In a general asymmetric setting, where economies differ in size, trade shares, and productivities, exchange-rate responses no longer admit simple analytical expressions that characterize when one force dominates another. We show that the main qualitative results are robust to moderate asymmetry, although under strong asymmetry some aggregate conclusions can reverse. In particular, when cross-foreign substitution is very strong and the targeted country accounts for only a small share of the tariffing country's trade, diversion toward more important bystanders can dominate the average-protection effect and worsen the aggregate terms of trade. We examine these reversals numerically in the three-country model and find that they require relatively extreme configurations of country size and trade shares. This possibility is therefore less relevant for understanding the 2025 tariff episode, when the United States imposed substantial protection on its major trading partners.

These reversals apply to discriminatory tariffs, not to uniform protection. Under general conditions allowing country sizes, trade shares, home bias, and preference parameters to differ, we prove that a small uniform tariff imposed from a balanced free-trade baseline appreciates the tariffing country's currency weakly against every partner under the multilateral Marshall–Lerner condition. It therefore improves the aggregate terms of trade and raises welfare to first order. This result recovers the classical terms-of-trade argument for uniform protection while showing why its partner-specific counterpart can fail. Uniform protection eliminates relative treatment across suppliers and switches off the cross-origin diversion mechanism that drives the reversals.

Our paper builds on the classical analysis of tariffs under flexible exchange rates, which identifies the conditions under which tariffs lead to exchange-rate appreciation (Lerner, 1936; Metzler, 1949; Mundell, 1961; Dornbusch, 1974; Eichengreen, 1981; Krugman, 1982). A large open-economy macroeconomics literature extends this analysis to environments with nominal rigidities, monetary policy, currency invoicing, and alternative uses of tariff revenue (Lindé and Pescatori, 2019; Barattieri et al., 2021; Erceg et al., 2023; Bergin and Corsetti, 2023; Werning et al., 2025). We instead revisit the flexible-price benchmark in a multilateral setting, where tariffs affect not only the importing country's aggregate exchange rate but also relative exchange rates across trading partners. Our bystander results are related to the literature on third-country effects of preferential trade policy, particularly the roles of trade diversion and competition among exporters (Viner, 1950; Mundell, 1964; Bond and Syropoulos, 1996; Bagwell and Staiger, 1999, 2002). We show how these forces affect bilateral and effective exchange rates when the importing country also produces a competing good. Finally, our multilateral Marshall–Lerner condition draws on the classical literature on stability in multiple markets (Hicks, 1939; Mosak, 1944; Metzler, 1945; Arrow and Hurwicz, 1958), applying these conditions to the exchange-rate response to tariffs in a multilateral setting.

Our results also relate to the empirical literature on the exchange-rate effects of tariffs, including the 2025 episode (Itskhoki and Mukhin, 2025; Kalemli-Özcan et al., 2026; Ostry et al., 2025) and earlier episodes (Furceri et al., 2019; Matveev and Ruge-Murcia, 2021; Jeanne and Son, 2024). Our analysis also offers a complementary perspective on the empirical literature estimating tariff pass-through into import prices (Amiti et al., 2019; Fajgelbaum et al., 2020; Cavallo et al., 2021). This literature typically uses dollar-denominated import prices as a proxy for tariff incidence. In a multilateral setting, however, exchange-rate movements provide an additional margin of incidence through changes in relative prices. An exporter whose dollar price is unchanged may still experience a decline in the home-currency value of its receipts when the dollar depreciates. Assessing tariff incidence from import prices

alone can therefore overlook adjustment through exchange rates, a margin that may have been particularly relevant during the broad dollar depreciation in 2025.

This paper is organized as follows. Section 2 develops the general multilateral framework, derives the multilateral Marshall–Lerner condition, and decomposes tariff changes into average protection and relative treatment. Section 3 gives this decomposition economic content in a nested-CES model and derives the main results for unilateral tariffs, including the three-region representation. Section 4 extends the analysis to bilateral retaliation, multilateral trade wars, and preferential tariffs. Section 5 considers asymmetric trade relationships, examines how the results change away from symmetry, and applies the framework to the 2025 tariff episode. Section 6 concludes, with derivations, proofs, and additional robustness results provided in the appendices.

2 Tariffs and Exchange-Rate Adjustment

2.1 The bilateral benchmark

Consider two countries, A and B. Let e_{AB} denote units of A's currency per unit of B's, so that a rise is a depreciation of A, and write $\nu \equiv \log e_{AB}$. Country A levies an ad valorem tariff τ on imports from B.

Each country's trade balance TB_i is the value of its exports minus the value of its imports, both at border (pre-tariff) prices and both expressed in one fixed common unit of account. Tariff revenue is a domestic transfer: it is counted neither as export revenue nor as an import payment, although its rebate or other use may affect income, quantities and therefore the trade balance. In the nested-CES model of Section 3 it is rebated lump-sum. Let v_l denote the common-unit value of one unit of currency l. We select A as numeraire and normalize $v_A = 1$, so these trade-balance values are numerically equal to values expressed in A's currency. This convention is used throughout this section and in the proof of Lemma 2.3, and all derivatives in this section are evaluated at the balanced baseline unless otherwise indicated.

Equilibrium with balanced trade is $\mathrm{TB}_A(\nu, \tau) = 0$. Linearizing,

$$d\,\mathrm{TB}_A = \mathrm{TB}_{A\nu}\,d\nu + \mathrm{TB}_{A\tau}\,d\tau = 0 \quad \Longrightarrow \quad d\nu^* = -\frac{\mathrm{TB}_{A\tau}}{\mathrm{TB}_{A\nu}}\,d\tau, \tag{2.1}$$

where $\mathrm{TB}_{A\nu} \equiv \partial \mathrm{TB}_A/\partial\nu$ holds the tariff fixed and $\mathrm{TB}_{A\tau} \equiv \partial \mathrm{TB}_A/\partial\tau$ holds ν fixed. At fixed ν, the tariff produces a positive trade-balance disturbance, $\mathrm{TB}_{A\tau} > 0$, when the tariff-induced reduction in A's import payments exceeds any tariff-induced reduction in its export receipts,

with tariff revenue treated according to the convention above. Conditional on $\mathrm{TB}_{A\tau} > 0$, Eq. (2.1) implies an appreciation if and only if $\mathrm{TB}_{A\nu} > 0$, that is, if and only if a depreciation improves the trade balance.

To express $\mathrm{TB}_{A\nu}$ in elasticities, let Q_X and Q_M be A's export and import quantities, and hold border prices fixed in the producer's currency, as in the nested-CES model, with units chosen so that each border price is one. A's export receipts are then Q_X and its import payments $e_{AB}Q_M$, both in A's currency, so $\mathrm{TB}_A = Q_X - e^{\nu}Q_M$. Define

$$\varepsilon_X \equiv \frac{\partial \log Q_X}{\partial \nu}, \qquad \varepsilon_M \equiv -\frac{\partial \log Q_M}{\partial \nu},$$

at fixed τ and at the balanced baseline. Both are positive when a depreciation raises export volume and lowers import volume. Let $X \equiv Q_X = e_{AB}Q_M$ be the common baseline border value of exports and imports. Differentiating, $\mathrm{TB}_{A\nu} = Q_X\varepsilon_X - e_{AB}Q_M(1-\varepsilon_M) = X(\varepsilon_X + \varepsilon_M - 1)$: the -1 is the valuation effect of a depreciation on the payment for each imported unit. The condition $\mathrm{TB}_{A\nu} > 0$ is therefore the Marshall–Lerner condition $\varepsilon_X + \varepsilon_M > 1$. Figure 1 illustrates; the parallel shift it shows is a first-order approximation around the baseline.

Remark 2.1 (Robustness of the two-country result). The sign $d\nu^*/d\tau < 0$ requires two conditions:

(i) at fixed ν, the tariff-induced fall in import payments is larger than any tariff-induced fall in export receipts, so $\mathrm{TB}_{A\tau} > 0$;

(ii) the Marshall–Lerner slope is positive, $\mathrm{TB}_{A\nu} > 0$.

Neither condition holds in every model or under every treatment of tariff revenue. Online Section D.1 states sufficient conditions for each in terms of the monotonicity of import payments and export receipts (Lemmas D.1 and D.2), under which $d\nu^*/d\tau < 0$ (Proposition D.3). In the two-country model, a tariff therefore appreciates the tariffing country's currency whenever both conditions hold. The rest of the paper shows that with three or more countries this is no longer enough.

2.2 Multilateral adjustment

Now consider N countries, indexed by $\mathcal{I} = \{1, \ldots, N\}$, and let $\mathcal{I}_{-A} = \mathcal{I} \setminus \{A\}$. Take A's currency as numeraire. The $N-1$ bilateral rates e_{Aj}, $j \in \mathcal{I}_{-A}$, span all exchange-rate changes. Trade balances sum to zero (Walras' law), which leaves $N-1$ independent trade-balance

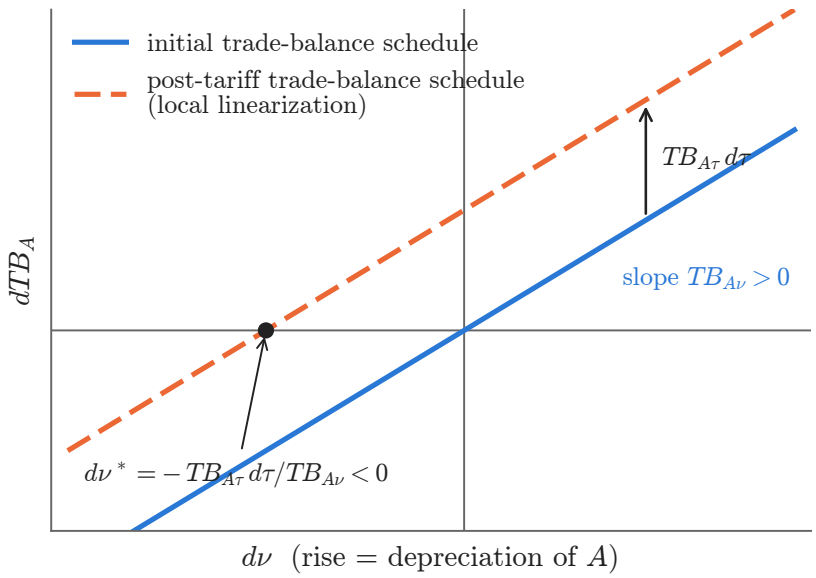


Figure 1: Bilateral tariff and exchange-rate adjustment. At a fixed exchange rate, the tariff shifts the trade-balance schedule upward. When the Marshall–Lerner slope is positive, equilibrium is restored through an appreciation. Schematic.

conditions, indexed by $i \in \mathcal{I}_{-A}$:

$$\mathrm{TB}_i\Big(\{e_{Aj}\}_{j\in\mathcal{I}_{-A}}, \{\tau_{jk}\}_{(j,k)\in\mathcal{T}}\Big) = 0, \qquad i \in \mathcal{I}_{-A},$$

where τ_{jk} is country j's ad valorem tariff on imports from k and $\mathcal{T} \equiv \{(j,k) \in \mathcal{I}\times\mathcal{I} : j \neq k\}$ is the set of all $N(N-1)$ ordered country pairs. Stack the bilateral rates as $\nu = (\nu_l)_{l\in\mathcal{I}_{-A}}$ with $\nu_l = \log e_{Al}$, in increasing order of l, and the tariffs as $\tau = (\tau_{jk})_{(j,k)\in\mathcal{T}}$, in lexicographic order of (j,k). Linearizing,

$$J\, d\nu + G\, d\tau = 0, \qquad J_{il} \equiv \left.\frac{\partial \mathrm{TB}_i}{\partial \nu_l}\right|_{\tau}, \qquad G_{i,(jk)} \equiv \left.\frac{\partial \mathrm{TB}_i}{\partial \tau_{jk}}\right|_{\nu}, \tag{2.2}$$

for $i, l \in \mathcal{I}_{-A}$ and $(j,k) \in \mathcal{T}$, so $J \in \mathbb{R}^{(N-1)\times(N-1)}$ and $G \in \mathbb{R}^{(N-1)\times N(N-1)}$. Consider a tariff change along a fixed direction,

$$d\tau = a\, ds, \qquad a \in \mathbb{R}^{N(N-1)}, \quad \|a\|_2 = 1,$$

where the unit norm serves only to normalize the scalar s. Define $F \equiv Ga$, the marginal vector of trade-balance disturbances per unit increase in s, evaluated at unchanged exchange

rates. Substituting into Eq. (2.2),

$$J\,\frac{d\nu}{ds} + Ga = 0.$$

Provided J is nonsingular, therefore,

$$\boxed{\frac{d\nu}{ds} = (-J)^{-1}F.} \tag{2.3}$$

Equation (2.3) separates the trade-balance effects of the tariff at unchanged exchange rates, F, which include expenditure switching, tariff revenue and income effects, from the exchange-rate movements required to restore external balance, $(-J)^{-1}$. In the bilateral case both are scalars, and Eq. (2.3) reduces to Eq. (2.1). With $N \geq 3$, however, the elements of F need not have the same sign: a tariff imposed by A on B can improve a bystander C's trade balance at unchanged exchange rates. The response of any bilateral exchange rate, including ν_C, therefore depends on the full vector of tariff-induced trade-balance disturbances, not on its own element alone.

2.3 A multilateral Marshall–Lerner condition

Definition 2.2 (Multilateral Marshall–Lerner condition, MML)**.** Let $i, l \in \mathcal{I}_{-A}$. The adjustment mechanism satisfies MML if $J_{il} \geq 0$ for every $l \neq i$, and $(-J)^{-1}$ exists with $(-J)^{-1} \geq 0$ componentwise, that is, $[(-J)^{-1}]_{il} \geq 0$ for all i, l. Equivalently, $-J$ is a nonsingular M-matrix.

Under MML, writing $\vartheta_{ij} \equiv [(-J)^{-1}]_{ij} \geq 0$,

$$\frac{d\nu_i}{ds} = \sum_{j \in \mathcal{I}_{-A}} \vartheta_{ij} F_j, \qquad i \in \mathcal{I}_{-A}. \tag{2.4}$$

Every disturbance enters every bilateral response with a nonnegative weight. Hence, componentwise, if $F \geq 0$ then $d\nu/ds \geq 0$, and if $F \leq 0$ then $d\nu/ds \leq 0$, where a positive $d\nu_i/ds$ is a depreciation of A against i. This is the multilateral counterpart of the two-country result.

A primitive sufficient condition for MML is gross substitutability of trade balances, which is stated in terms of the full $N \times N$ Jacobian with respect to currency values. Let $\chi_l \equiv \log v_l$, $l \in \mathcal{I}$, be the log common-unit value of currency l. Since $e_{Aj} = v_j / v_A$,

$$\nu_j = \chi_j - \chi_A, \qquad j \in \mathcal{I}_{-A}.$$

Define $\widetilde{J}_{il} \equiv \partial \mathrm{TB}_i / \partial \chi_l$ for $i, l \in \mathcal{I}$, at fixed tariffs. If each trade balance is homogeneous of degree one in currency values, Euler's identity gives $\sum_{l \in \mathcal{I}} \widetilde{J}_{il} = \mathrm{TB}_i = 0$ at the balanced baseline, and Walras' law, $\sum_{i \in \mathcal{I}} \mathrm{TB}_i \equiv 0$, gives $\sum_{i \in \mathcal{I}} \widetilde{J}_{il} = 0$ for every $l \in \mathcal{I}$. Because χ_A is fixed by the normalization $v_A = 1$, a change in ν_l is a change in χ_l alone, so the reduced Jacobian of Eq. (2.2) is $J = (\widetilde{J}_{il})_{i,l \in \mathcal{I}_{-A}}$. Trade balances are gross substitutes if

$$\widetilde{J}_{il} \geq 0 \qquad \text{for all } i, l \in \mathcal{I},\ l \neq i,$$

that is, if an appreciation of currency l, a rise in χ_l, weakly improves every other country's trade balance.

Lemma 2.3. *If each trade balance is homogeneous of degree one in currency values, $\widetilde{J}_{il} \geq 0$ for all $i, l \in \mathcal{I}$ with $l \neq i$, the reduced matrix $J = (\widetilde{J}_{il})_{i,l \in \mathcal{I}_{-A}}$ is irreducible, and $\widetilde{J}_{iA} > 0$ for at least one $i \in \mathcal{I}_{-A}$, then MML holds.*

Lemma 2.3 is the trade-balance analogue of the gross-substitutes stability results of Hicks (1939), Mosak (1944), Metzler (1945) and Arrow et al. (1959). MML ensures that multilateral adjustment is well behaved, and a disturbance vector of one sign produces exchange-rate responses of the same sign. When F contains both positive and negative elements, however, MML alone does not determine the sign of an individual bilateral exchange-rate response. Positive own-exchange-rate trade-balance slopes are therefore not sufficient to sign bilateral responses in a multilateral setting.

2.4 Symmetric trading partners

Equation (2.3) holds at any balanced baseline. When the tariffing country's partners are symmetric, it can be solved using two eigenspace-specific eigenvalues of $-J$ and two of $G^{(A)}$.

Restrict attention to tariff changes imposed by A, $t = (t_j)_{j \in \mathcal{I}_{-A}}$ with $t_j \equiv d\tau_{Aj}$, and let $G^{(A)} \in \mathbb{R}^{(N-1)\times(N-1)}$ be the corresponding restriction of the tariff-incidence matrix,

$$G^{(A)}_{ij} \equiv \left. \frac{\partial \mathrm{TB}_i}{\partial \tau_{Aj}} \right|_{\nu}, \qquad i, j \in \mathcal{I}_{-A},$$

so that $J\, d\nu + G^{(A)} t = 0$. Assume that the primitives and the balanced baseline allocation are invariant to every relabeling of A's $N-1$ partners. This implies that, for every $(N-1) \times (N-1)$ partner-permutation matrix P,

$$PJP' = J \qquad \text{and} \qquad PG^{(A)}P' = G^{(A)}.$$

A free-trade or common-external-tariff baseline is an example only when the partner primitives are also symmetric. We then call A's partners symmetric. With $\mathbf{1}$ the $(N-1)$-vector of ones, decompose

$$t = \bar{t}\,\mathbf{1} + \widetilde{t}, \qquad \bar{t} = \tfrac{1}{N-1}\mathbf{1}'t, \qquad \mathbf{1}'\widetilde{t} = 0. \tag{2.5}$$

We call $\bar{t}$ *average protection* and $\widetilde{t}$ *relative treatment*. Any permutation-invariant matrix has the form $aI + b\mathbf{1}\mathbf{1}'$, so the one-dimensional common subspace $\mathrm{span}\{\mathbf{1}\}$ and the $(N-2)$-dimensional deviation subspace $\{v : \mathbf{1}'v = 0\}$ are eigenspaces of both $G^{(A)}$ and $-J$:

$$G^{(A)}\mathbf{1} = g_S\mathbf{1}, \quad G^{(A)}v = g_D v; \qquad (-J)\mathbf{1} = j_S\mathbf{1}, \quad (-J)v = j_D v \qquad (\mathbf{1}'v = 0).$$

The eigenvalues j_D and g_D each have multiplicity $N-2$.

We measure A's effective exchange rate by its nominal effective exchange rate (NEER) with baseline bilateral trade weights. With f_{ij} the border value of country i's imports from j,

$$w_{Aj} \equiv \frac{f_{Aj} + f_{jA}}{\sum_{k\neq A}(f_{Ak} + f_{kA})}, \qquad \sum_{j\neq A} w_{Aj} = 1,$$
$$E_A \equiv \prod_{j\neq A} e_{Aj}^{w_{Aj}}, \qquad d\nu_A^E \equiv d\log E_A = \sum_{j\neq A} w_{Aj}\, d\nu_j,$$

holding the baseline weights fixed for the local comparative static. This is the effective exchange rate throughout the paper. Under partner symmetry the bilateral trade weights are equal, $w_{Aj} = 1/(N-1)$, so in this section the NEER reduces to the simple average of the bilateral log exchange rates, $d\nu_A^E = \frac{1}{N-1}\sum_{j\neq A} d\nu_j$. For partners $j, k \in \mathcal{I}_{-A}$ the cross rate is $e_{jk} = e_{Ak}/e_{Aj}$, units of j's currency per unit of k's.

Proposition 2.4 (Average protection and relative treatment)**.** *Let partners be symmetric, $N \geq 3$, and $j_S, j_D \neq 0$, so that J is nonsingular. For any tariff vector t,*

$$d\nu = \lambda_{\mathrm{avg}}\,\bar{t}\,\mathbf{1} + \lambda_{\mathrm{rel}}\,\widetilde{t}, \qquad \lambda_{\mathrm{avg}} = \frac{g_S}{j_S}, \quad \lambda_{\mathrm{rel}} = \frac{g_D}{j_D}. \tag{2.6}$$

Hence

$$d\nu_A^E = \lambda_{\mathrm{avg}}\bar{t}, \qquad d\nu_j - d\nu_A^E = \lambda_{\mathrm{rel}}\widetilde{t}_j, \qquad d\log e_{jk} = d\nu_k - d\nu_j = \lambda_{\mathrm{rel}}(t_k - t_j). \tag{2.7}$$

Moreover, under the permutation-symmetry assumptions above, MML is equivalent to $j_S > 0$ and $j_D \geq j_S$.

Average protection shifts all of A's bilateral log exchange rates by the same amount, so un-

der symmetry it determines the NEER. Relative treatment has zero mean, leaves the NEER unchanged, and moves bilateral rates around the common component; it also determines the movements in cross rates among partners. The two components lie in complementary subspaces, $\mathbb{R}^{N-1} = \text{span}\{\mathbf{1}\} \oplus \{v : \mathbf{1}'v = 0\}$, and each is scaled by its own coefficient. With $N = 3$ these subspaces span a plane, which Fig. 2 uses to illustrate the decomposition.

Proposition 2.4 thus reduces the exchange-rate response to any tariff vector to two coefficients: λ_{avg}, through which average protection moves the common component of A's bilateral rates and hence its effective exchange rate, and λ_{rel}, through which relative treatment moves individual bilateral rates around that component and the cross rates among partners. The decomposition follows from partner symmetry alone and does not rely on the nested-CES structure or any other particular demand system. What remains undetermined are the signs and magnitudes of λ_{avg} and λ_{rel}, and hence the relative strength of the two components. Section 3 introduces a nested-CES model in which these coefficients depend on substitution between domestic and foreign goods and on substitution across foreign suppliers.

3 The Nested-CES Model

We now give economic content to these two components in a nested-CES trade model.

3.1 Production, preferences and equilibrium

Each country $i \in \{1, \ldots, N\}$ is endowed with L_i units of labor, its size, which is mobile across sectors. It produces a country-specific tradable and a non-tradable with labor only, $Y_{Ti} = A_{Ti}L_{Ti}$ and $Y_{Ni} = A_{Ni}L_{Ni}$, with $L_{Ti}+L_{Ni} = L_i$. Normalizing each tradable's producer price to one in its own currency, $w_i = A_{Ti}$ and $P_{Ni} = A_{Ti}/A_{Ni}$. Relative international producer prices therefore move only through exchange rates, and **the bilateral exchange rate equals the bilateral terms of trade and the relative wage in a common currency.**

Preferences are

$$C_i = C_{Ti}^{\alpha_T} C_{Ni}^{1-\alpha_T}, \quad C_{Ti} = \left[\alpha_D^{1/\eta} C_{Tii}^{\frac{\eta-1}{\eta}} + (1-\alpha_D)^{1/\eta} M_i^{\frac{\eta-1}{\eta}}\right]^{\frac{\eta}{\eta-1}}, \quad M_i = \left[\textstyle\sum_{j\neq i} \beta_{ij}^{1/\rho} C_{Tji}^{\frac{\rho-1}{\rho}}\right]^{\frac{\rho}{\rho-1}}. \tag{3.1}$$

Here η governs substitution between domestic tradables and the import composite, and ρ substitution across foreign origins; the latter is inactive when $N = 2$. Country i levies τ_{ij} on imports from j, so the consumer price is $p_{ij} = (1+\tau_{ij})e_{ij}$, and the import and tradable price indices are $P_{Mi} = [\sum_{j\neq i} \beta_{ij} p_{ij}^{1-\rho}]^{1/(1-\rho)}$ and $P_{Ti} = [\alpha_D + (1-\alpha_D)P_{Mi}^{1-\eta}]^{1/(1-\eta)}$. Tariff revenue

is rebated lump-sum, so income is

$$I_i = \frac{w_i L_i}{1 - \sum_{j \neq i} \frac{\tau_{ij}}{1+\tau_{ij}} s_{ij}}, \tag{3.2}$$

with s_{ij} the realized tariff-inclusive expenditure share of income on j's good. Trade balances are measured at border prices,

$$\mathrm{TB}_i = \sum_{k \neq i} f_{ki} - \sum_{j \neq i} f_{ij}, \qquad f_{ij} = \frac{s_{ij} \tilde{I}_i}{1 + \tau_{ij}}, \tag{3.3}$$

with $\tilde{I}_i = e_{Ai} I_i$ income in A's currency. Under the normalization $v_A = 1$ of Section 2.1, values in A's currency equal values in the common unit of account, so Eq. (3.3) is the trade-balance measure of Section 2: flows at border prices, with tariff revenue a domestic transfer. The NEER is the one defined in Section 2.4, written here for any country i: $E_i = \prod_{j \neq i} e_{ij}^{w_{ij}}$ with baseline trade weights $w_{ij} = (f_{ij} + f_{ji}) / \sum_{k \neq i} (f_{ik} + f_{ki})$; throughout, "effective exchange rate" refers to this trade-weighted NEER. The real exchange rate is $q_{ij} = e_{ij} P_j / P_i$, with P_i the consumer price index.

The **symmetric benchmark** is free trade with $\beta_{ij} = 1/(N-1)$, common parameters, and equal endowments and productivities. It retains home bias α_D. Write $m \equiv \alpha_T (1 - \alpha_D)$ for the import share of income.

3.2 The two-country case

With one foreign supplier, linearizing gives $d\mathrm{TB}_A = m M_2 \, d\nu_B + m \rho_D \, d\tau$, so

$$\left. \frac{d \log e_{AB}}{d\tau} \right|_{\tau=0} = -\frac{\rho_D}{M_2}, \qquad \rho_D \equiv \underbrace{\alpha_D \eta}_{\text{domestic substitution}} + \underbrace{(1-\alpha_D)(1-\alpha_T)}_{\text{rebate / non-tradables}}, \quad M_2 \equiv 1 + 2\alpha_D(\eta - 1) = \varepsilon_X + \varepsilon_M - 1. \tag{3.4}$$

ρ_D is the **domestic diversion margin**. It measures how strongly a tariff pulls expenditure toward the domestic economy, through substitution toward the domestic tradable and through the rebate's income effect on non-tradables. An exchange-rate movement generates no revenue, so it has no rebate term. This is why $\rho_D \neq M_2$.

3.3 The N-country case

We now evaluate the eigenvalues of Section 2.4 in this model.

Theorem 3.1 (Exchange-rate responses in the symmetric nested-CES model)**.** *At the symmetric benchmark define*

$$M_N \equiv \frac{1}{N-1}\Big[1 + \underbrace{N\alpha_D(\eta-1)}_{\text{domestic–import adjustment}} + \underbrace{(N-2)\rho}_{\text{foreign-origin adjustment}}\Big]. \tag{3.5}$$

The eigenvalues of Proposition 2.4 are (Lemma A.1 and Eq. (A.4))

$$g_S = -\frac{m\rho_D}{N-1}, \qquad g_D = -\frac{m\rho}{N-1}, \qquad j_S = \frac{mM_N}{N-1}, \qquad j_D = Nj_S. \tag{3.6}$$

MML holds if and only if $M_N > 0$, and $\eta \geq 1$ suffices. When it holds,

$$\lambda_{\text{avg}} = -\frac{\rho_D}{M_N}, \qquad \lambda_{\text{rel}} = -\frac{\rho}{NM_N}, \qquad d\nu_j = \lambda_{\text{avg}}\bar{t} + \lambda_{\text{rel}}\tilde{t}_j. \tag{3.7}$$

M_N measures how sensitive A's trade balance with the rest of the world is to its effective exchange rate: $d\text{TB}_A = mM_N\, d\nu_A^E$, with the equal weights of the symmetric benchmark. When $N > 2$ it includes ρ, because foreign buyers can substitute between A's goods and other foreign goods. For $N = 2$ it reduces to M_2. Average protection works as in the two-country case. Relative treatment is zero-sum, so to first order it leaves revenue, income and the tradable/non-tradable split unchanged, and its disturbance is governed by ρ alone.

The factor $1/N$ in λ_{rel} is central. A common exchange-rate move shifts only partners' trade with A. A relative move also shifts partners' trade with *each other*. At the symmetric benchmark A accounts for a share $1/N$ of the trade on which relative movements act, so $j_D = Nj_S$. **Relative exchange-rate adjustment is N times as effective as common adjustment**, and a given relative disturbance requires only $1/N$ as much exchange-rate movement.

3.4 A unilateral tariff

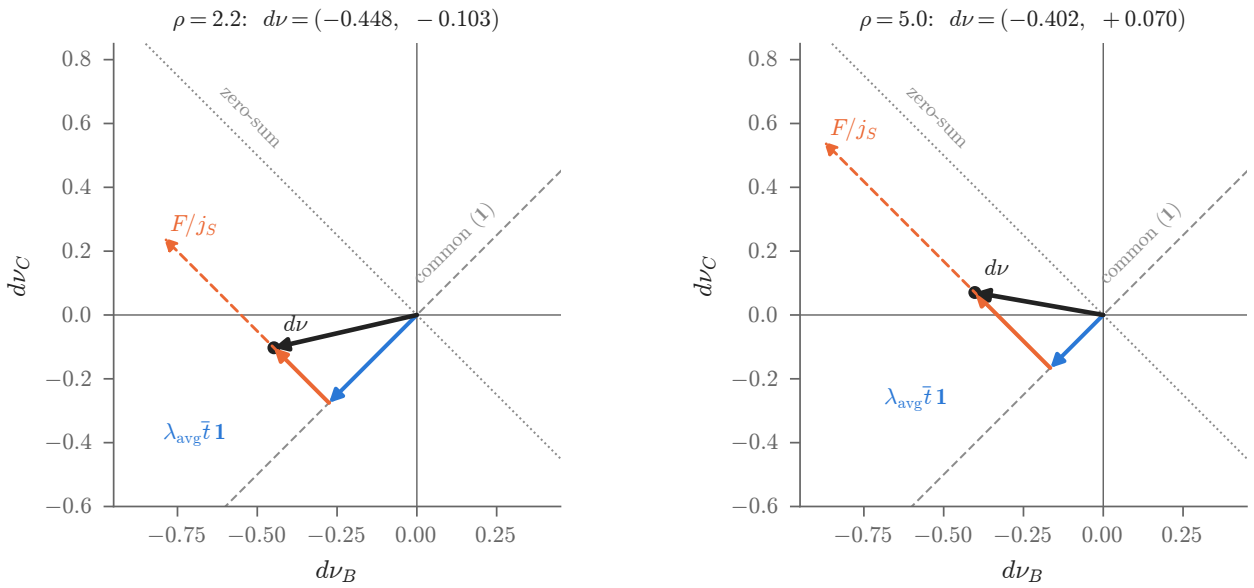
Let A raise its tariff on B alone, $t = d\tau\, e_B$. Then $\bar{t} = d\tau/(N-1)$, $\tilde{t}_B = \frac{N-2}{N-1}d\tau$ and $\tilde{t}_C = -\frac{d\tau}{N-1}$ for every bystander C.

Proposition 3.2 (Unilateral tariff)**.** *At the symmetric benchmark under MML,*

$$\frac{d\nu_A^E}{d\tau} = -\frac{\rho_D}{(N-1)M_N} < 0, \qquad \frac{d\nu_B}{d\tau} = -\frac{N\rho_D + (N-2)\rho}{N(N-1)M_N} < 0, \qquad \frac{d\nu_C}{d\tau} = \frac{\rho - N\rho_D}{N(N-1)M_N}. \tag{3.8}$$

(i) A's NEER appreciates for every N and ρ.

(ii) A appreciates against the target.



(a) $\rho = 2.2$: $\rho_D < \rho < 3\rho_D$ **(b)** $\rho = 5$: $\rho > 3\rho_D$

Figure 2: Average protection and relative treatment, $N = 3$. A unilateral tariff on B, $t = (1, 0)$, moves exchange rates through a common component (blue) and a relative component (solid orange); the black arrow is the equilibrium response $d\nu$, and the dashed arrow F/j_S is the response if relative adjustment were no more effective than common adjustment. In (a), C's trade balance improves at unchanged exchange rates, yet A still appreciates against C. In (b), A depreciates against C. The NEER appreciates in both. *Notes:* $\alpha_D = 0.7$, $\alpha_T = 0.6$, $\eta = 1.5$, so $\rho_D = 1.17$ and $3\rho_D = 3.51$.

(iii) *A **depreciates against each untariffed bystander if and only if** $\rho > N\rho_D$.*

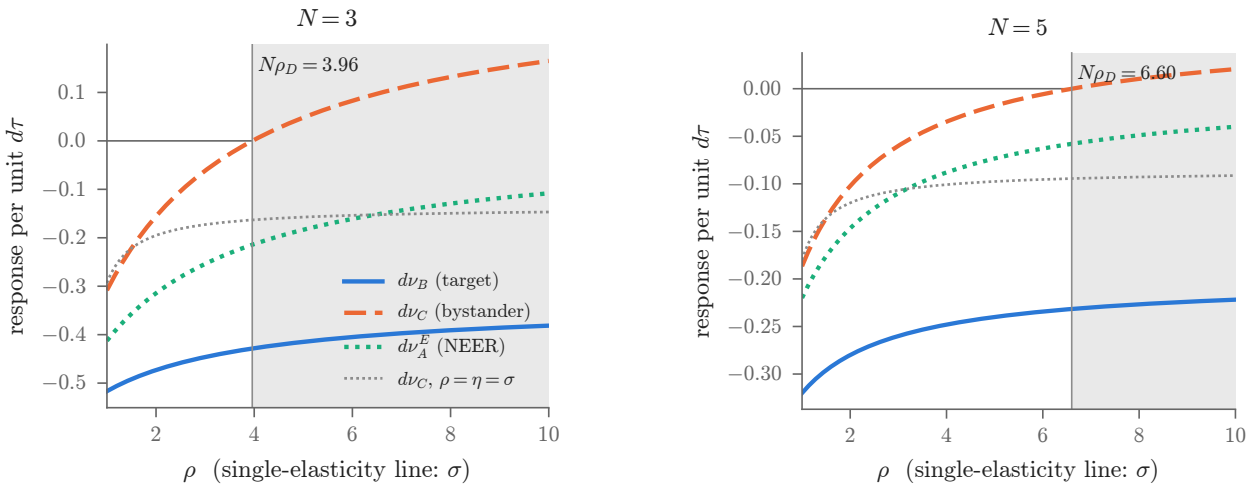
(iv) *The same threshold applies when A tariffs any $k \leq N - 2$ partners. More generally, A depreciates against a partner j facing a below-average tariff increase if and only if $t_j/\bar{t} < 1 - N\rho_D/\rho$, which requires $\rho > N\rho_D$.*

Against the target, average protection and relative treatment reinforce each other. Against a bystander they pull apart. Average protection shifts expenditure toward the domestic economy (appreciation), while the bystander's favorable relative treatment redirects expenditure toward it (depreciation).

Corollary 3.3 (Why a single elasticity cannot deliver reversal)**.** *With home bias $\alpha_D \geq 1/N$,*

$$N\rho_D - \eta = \eta(N\alpha_D - 1) + N(1 - \alpha_D)(1 - \alpha_T) \geq 0, \tag{3.9}$$

*so $\rho > \eta$ is **necessary** for a bystander depreciation. In any specification with a single elasticity across all tradable varieties ($\rho = \eta = \sigma$), A appreciates against every bystander at every σ. At $\alpha_D = 1/N$ the response is $-(1 - \alpha_T)/(N\sigma)$, which approaches zero from below but never crosses it.*



(a) $N = 3$ **(b)** $N = 5$

Figure 3: Bilateral and effective responses to a unilateral tariff, per unit $d\tau$, US-like parameters ($\alpha_D = 0.8$, $\alpha_T = 0.4$, $\eta = 1.5$). $d\nu_B$ and $d\nu_A^E$ are negative for every ρ; $d\nu_C$ crosses zero at $N\rho_D$ (3.96 for $N = 3$, 6.60 for $N = 5$), and the shaded region is $\rho > N\rho_D$. The grey dotted line is the single-elasticity case $\rho = \eta = \sigma$, plotting $d\nu_C$ against σ; it never crosses zero (Corollary 3.3). Closed forms of Proposition 3.2, verified against the linear solver.

This explains why the natural first extension of the two-country model, a third country under a single CES elasticity, has not surfaced the reversal. The reversal requires that cross-origin substitution exceed home–import substitution, an ordering supported by the macro–micro elasticity evidence (Feenstra et al., 2018; Li et al., 2022). At US-like parameters ($\alpha_D = 0.8$, $\alpha_T = 0.4$, $\eta = 1.5$, so $\rho_D = 1.32$), $N\rho_D = 3.96$ for $N = 3$.

Disturbance versus equilibrium. At unchanged exchange rates the bystander's trade balance improves if and only if $\rho > \rho_D$:

$$F_C = \frac{m(\rho - \rho_D)}{(N-1)^2}. \tag{3.10}$$

The equilibrium bystander depreciation requires the stronger condition $\rho > N\rho_D$. The gap is the $1/N$ effectiveness of relative adjustment. For $\rho_D < \rho < N\rho_D$, C gains at the old exchange rates yet ends up with a weaker currency against A (Fig. 2a). Figure 3 plots the three responses against ρ.

3.5 The three-country representation

The N-country results can be read through a three-country economy, which we use as the workhorse for intuition. When the $N - 2$ bystanders are symmetric and the tariff shock

preserves that symmetry, no relative-price movement within the bystander bloc is activated. The bloc then has a single active direction, and the tariff experiment reduces exactly to three regions: A, B and a composite bystander C. We now show that this composite is itself a nested-CES country, and we identify its parameters.

Proposition 3.4 (Exact three-country reduction)**.** *At the symmetric benchmark, consider any tariff change among A, B and the bystanders that is common across bystanders: tariffs by A or B on all bystanders, by all bystanders on A or B, or between A and B. To first order, the responses of ν_B, of every bystander rate ν_C and of A's NEER coincide with those of a three-country nested-CES economy $\{A, B, C\}$ in which:*

- *C has income $y_C = N - 2$;*
- *A and B place import weight $\frac{N-2}{N-1}$ on C and $\frac{1}{N-1}$ on each other;*
- *C places import weight $\frac{1}{2}$ on each of A and B, with cross-origin elasticity ρ;*
- *C's home share of tradables is $h_C = \alpha_D + (1 - \alpha_D)\frac{N-3}{N-1}$, equivalently $(N-1)h_C = N - 3 + 2\alpha_D$;*
- *C's home–import elasticity is*

$$\boxed{\eta_C = \frac{(N-3)\rho + 2\alpha_D\,\eta}{N - 3 + 2\alpha_D}.} \tag{3.11}$$

Proof sketch. All bystander goods have the same price change, so CES aggregation of A's and B's demand over bystander goods is exact. Trade within the bloc cancels from the bloc's trade balance; what remains is the bloc's demand for A's and B's goods. Measure prices in bystander currency, so bloc goods have $dp = 0$, and write $S = dp_A + dp_B$ and $D = dp_A - dp_B$. A bystander's import price index moves by $S/(N-1)$, since A and B are 2 of its $N-1$ import origins. Hence

$$d\log s_{cA} = (1-\rho)\tfrac{D}{2} + \left[(1-\rho)\tfrac{N-3}{2(N-1)} + (1-\eta)\tfrac{\alpha_D}{N-1}\right]S.$$

In the composite the import index moves by $S/2$, so $d\log s_{CA} = (1-\rho)\frac{D}{2} + (1-\eta_C)h_C\frac{S}{2}$. The D terms coincide. Matching the S terms gives $(1-\eta_C)(N-1)h_C = (1-\rho)(N-3) + 2\alpha_D(1-\eta)$, which is Eq. (3.11). The full proof is in Section B. □

The reduction is first-order. At finite tariffs a CES with constant η_C does not replicate the bloc. The shocks it covers include the retaliation and trade-war experiments of Section 4.

Interpretation. The composite bystander differs from an ordinary large country in one respect. Most of each bystander's trade is with *other bystanders*, whose goods sit in the same ρ-nest as A's and B's. Once collapsed, this internal trade becomes the composite's "home" trade, and it is substitutable at a blend of ρ and η. When $\rho > \eta$, η_C rises toward ρ as N grows. The bystander bloc becomes inward-looking ($h_C \to 1$) and highly substitutable.

The reduced system. In the composite economy the 2×2 system for (ν_B, ν_C) is, with $c = mM_N/(N-1)$,

$$-J = c \begin{pmatrix} N-1 & -(N-2) \\ -(N-2) & 2(N-2) \end{pmatrix}, \qquad \det(-J) = c^2 N(N-2), \tag{3.12}$$

and

$$d\nu_C = \frac{F_B + (N-1)F_c}{cN}, \qquad d\nu_B = \frac{2F_B + (N-2)F_c}{cN}, \tag{3.13}$$

where F_B is the target's disturbance and F_c each bystander's ($F_C = (N-2)F_c$). Under a unilateral tariff, $F_B = -m[\rho_D + (N-2)\rho]/(N-1)^2 < 0$ and $F_c = m(\rho - \rho_D)/(N-1)^2$. Equation (3.13) recovers Eq. (3.8) and gives the bystander response a two-force reading:

- **diversion**, $(N-1)F_c$: expenditure diverted toward bystanders improves their position and strengthens their currencies;
- **redirection**, F_B: the target loses access to A's market and its currency must fall. This makes the target's goods cheaper for bystanders and drags bystander currencies down with it.

A depreciates against the bystander if and only if diversion outweighs redirection, $(N-1)(\rho - \rho_D) > \rho_D + (N-2)\rho$, which is $\rho > N\rho_D$. These are the "trade diversion" and "trade redirection" forces of earlier versions of this paper, now with exact weights.

Why N raises the threshold, and why size alone does not. One might expect that adding countries is equivalent to enlarging the bystander. It is not. Hold the composite's flows fixed at their N-country values but give it an ordinary home–import elasticity η instead of η_C. The bystander threshold then *falls* slightly with N, consistent with the general result (Section C.3) that a larger bystander lowers the threshold. The true threshold $N\rho_D$ rises steeply (Table 1 and Fig. 4). What drives the N-dependence is the bloc's internal, highly substitutable trade, which makes relative exchange-rate adjustment N times as effective as common adjustment and dilutes A's footprint to $1/N$.

Table 1: N versus bystander size

		Composite bystander threshold		
N	$N\rho_D$ (true)	with η_C Eq. (3.11)	with ordinary η	η_C at $\rho = 4$
3	3.96	3.96	3.96	1.50
4	5.28	5.28	3.82	2.46
5	6.60	6.60	3.76	2.89
8	10.56	10.56	3.71	3.39

Notes: US-like parameters ($\alpha_D = 0.8$, $\alpha_T = 0.4$, $\eta = 1.5$). Thresholds are the values of ρ at which the bystander response to a unilateral tariff changes sign in the composite economy of Proposition 3.4, computed with the linear system of Section A. The "ordinary η" column keeps the composite's flows but replaces η_C by η.

3.6 Real exchange rates

Real rates add a price-index wedge: the tariff raises A's consumer prices directly. With $\bar{t}$ the average tariff and partners imposing no tariffs,

$$d\log q_{Aj} = \left(1 - \tfrac{mN}{N-1}\right) d\nu_j - m\bar{t}, \qquad dq_A^E = \left[\left(1 - \tfrac{mN}{N-1}\right)\lambda_{\text{avg}} - m\right]\bar{t}. \tag{3.14}$$

Proposition 3.5 (Real exchange rates)**.** *Consider a unilateral tariff at the symmetric benchmark.*

(i) If $m < 1/N$ and MML holds at the relevant ρ, the real bilateral threshold exceeds the nominal one:

$$\rho_q^*(N) = \frac{[(N-1) - mN]N\rho_D + mN[N\alpha_D(\eta - 1) + 1]}{(N-1)(1 - mN)} > N\rho_D.$$

(ii) If $m < (N-1)/N$, the REER appreciates.

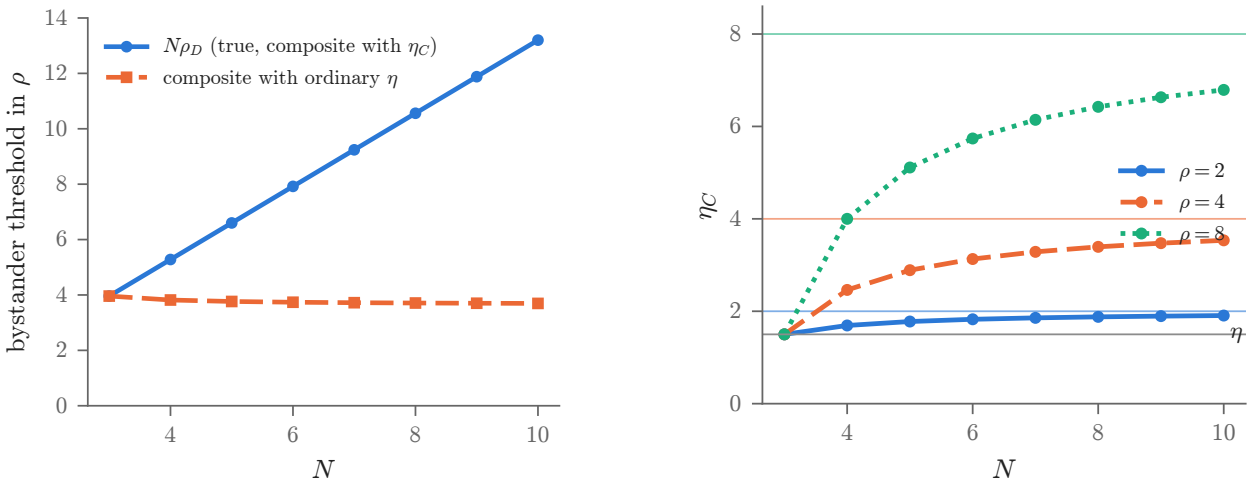
At US-like parameters and $N = 3$, $\rho_q^* = 4.93$, against $3\rho_D = 3.96$.

4 Trade Wars and Preferential Tariffs

So far only A has changed its tariffs. This section lets partners respond, and then relates the bystander result to the literature on preferential tariffs.

4.1 Trade wars

Since the analysis is local, simultaneous tariff changes by several countries add up.



(a) Bystander threshold **(b)** Effective elasticity η_C

Figure 4: The composite bystander, US-like parameters. (a) The true threshold $N\rho_D$ for $N = 3, \ldots, 10$, which the composite with η_C reproduces exactly, and the threshold of the "ordinary-η" composite, which is nearly flat and slightly declining. (b) η_C from Eq. (3.11) against N for $\rho \in \{2, 4, 8\}$, converging toward ρ (thin horizontal lines); the grey line is $\eta = 1.5$.

Proposition 4.1 (Retaliation and trade wars)**.** *At the symmetric benchmark with $N \geq 3$ under MML:*

(i) ***Bilateral retaliation*** *(A tariffs B and B tariffs A by $d\tau$): $d\nu_B = 0$, and*

$$\frac{d\nu_C}{d\tau} = \frac{\rho - \rho_D}{(N-1)M_N}, \qquad \frac{d\nu_A^E}{d\tau} = \frac{N-2}{N-1} \cdot \frac{\rho - \rho_D}{(N-1)M_N}. \tag{4.1}$$

Both belligerents depreciate against every bystander, and in effective terms, ***if and only if*** *$\rho > \rho_D$. Cross rates among bystanders are unchanged.*

(ii) ***Multilateral trade war*** *(A tariffs every partner, and every partner retaliates against A): $d\nu_j = d\nu_A^E = \frac{(N-2)(\rho-\rho_D)}{(N-1)M_N}\, d\tau$ for all j, so A depreciates against everyone if and only if $\rho > \rho_D$.*

B's retaliation adds a second relative-treatment effect in the bystander's favor, which offsets the $1/N$ dilution. The threshold drops from $N\rho_D$ to ρ_D, the point at which the bystander's trade balance improves at unchanged exchange rates. At US-like parameters $\rho_D = 1.32$, below essentially all cross-origin estimates. **Retaliation therefore makes multilateral depreciation of the tariffing country's currency the generic outcome, while leaving the belligerents' bilateral rate unchanged.** This is the pattern documented by Ostry et al. (2025), including the near-stability of the dollar against the renminbi in tit-for-tat episodes. Here it arises with flexible prices, balanced trade and no financial

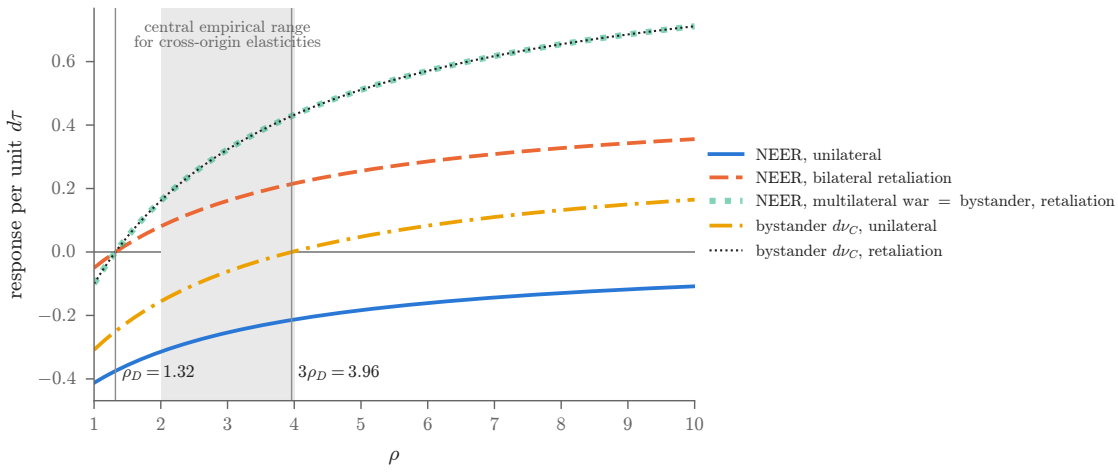


Figure 5: Configuration dependence, $N = 3$, US-like parameters. NEER responses $d\nu_A^E/d\tau$ under a unilateral tariff (always negative), bilateral retaliation and a multilateral war (both crossing zero at $\rho_D = 1.32$), and the bilateral response against a bystander under a unilateral tariff (crossing at $3\rho_D = 3.96$) and under retaliation (crossing at ρ_D). At $N = 3$ the multilateral-war response coincides with the bystander response under bilateral retaliation, so those two lines overlap. Shaded: the central empirical range for cross-origin elasticities, $\rho \in [2, 4]$.

channel.

The two experiments differ in where adjustment falls. Under bilateral retaliation the belligerents' rate is fixed and adjustment runs against bystanders. In a multilateral war there are no bystanders, and all of A's rates move together (Fig. 5).

4.2 Preferential tariffs and competing exporters

In our model class the bystander's exchange rate is its terms of trade: $\text{ToT}_{CA} = e_{AC}$. The response in Eq. (3.8) is therefore the third-country terms-of-trade effect of a discriminatory tariff, the central object of the preferential-trade-agreement literature since Viner (1950) and Mundell (1964). In the canonical competing-exporter model, an importer A that does not produce the good buys it from B and C under quasi-linear preferences. With q_j exporter j's price, E_j its export supply and M_A the importer's demand, a tariff on B then *always* improves C's terms of trade, since

$$\frac{dq_C}{dt_B} = \frac{E'_B}{E'_B + E'_C - M'_A} > 0,$$

and preferential liberalization toward B always hurts the excluded country. In our model the same effects hold **only if** $\rho > N\rho_D$. The difference is that A produces a competing tradable. Part of the demand diverted from B goes to A's own good, along with the rebate's income effect, so the third-country effect survives only when cross-origin substitution is

strong relative to domestic diversion. The two environments are not formally nested. The competing-exporter model can be read as switching off ρ_D in order to isolate substitution across foreign suppliers. Section C.1 shows that at a positive common external tariff the threshold rises, and that a discrete preferential cut requires a higher ρ than the local threshold suggests.

5 Asymmetry

The symmetric case delivers clean geometry: the NEER and the bilateral rates separate exactly, and thresholds are linear in ρ. Asymmetry breaks the eigen-structure. This section does not aim at a general theory of asymmetric trade networks. Its purpose is to show which intuitive conclusions of the symmetric case are structural and which are artefacts of symmetry. The most consequential casualty is the result that a unilateral tariff always improves the tariffing country's aggregate terms of trade.

Two weighted averages of bilateral responses appear in this section and should be kept apart. The *effective exchange rate* is, as throughout the paper, the trade-weighted NEER of Section 2.4, with weights w_{Aj} that combine A's imports from and exports to j. The *aggregate terms of trade* weight the same bilateral responses by A's import shares b_{Aj}. At the symmetric benchmark the two weightings coincide; away from it they do not, and it is the import-weighted aggregate terms of trade that is welfare-relevant.

5.1 The aggregate terms of trade and welfare

Let b_{Aj} be partner j's share in A's import bundle, and $R_j^B \equiv \partial \nu_j / \partial \tau_{AB}$. Define the import-weighted foreign-price response

$$R_{A|B} \equiv \sum_{j \neq A} b_{Aj} R_j^B. \tag{5.1}$$

Under the producer-price normalization, a rise in e_{Aj} raises the price of j's good relative to A's, so A's aggregate terms of trade improve if and only if $R_{A|B} < 0$.

Lemma 5.1 (First-order welfare)**.** *At a free-trade baseline, for any tariff vector, the first-order change in A's welfare, in units of income, is*

$$\frac{dU_A}{U_A' \, I_A} = -\, m_A \sum_{j \neq A} b_{Aj} \, d\nu_j, \tag{5.2}$$

where m_A is A's import share of income. A marginal tariff thus raises A's welfare if and only if it improves A's aggregate terms of trade.

Proof sketch. A's wage and non-tradable price are fixed in A's currency. By the envelope theorem, $\lambda\, dU_A = dT_A^{rev} - \sum_j C_{Aj}\, dp_{Aj}$. At free trade $dT_A^{rev} = \sum_j f_{Aj}\, d\tau_{Aj}$ and $dp_{Aj} = p_{Aj}(d\nu_j + d\tau_{Aj})$. The tariff terms cancel, leaving $-\sum_j f_{Aj} d\nu_j$. Foreign tariffs affect A only through $d\nu$. The full proof is in Section B. □

The welfare gradient. By Lemma 5.1, the first-order welfare effect is linear in the tariff vector. For tariffs imposed by A,

$$\frac{dU_A}{U_A' I_A} = \sum_{j \neq A} g_j\, d\tau_{Aj}, \qquad g_j \equiv -m_A\, R_{A|j}, \tag{5.3}$$

where $R_{A|j}$ is the import-weighted response Eq. (5.1) to a tariff on j alone. The component g_j is the welfare gain from a marginal tariff on partner j, and its sign is that of the aggregate terms-of-trade effect of that tariff. A uniform marginal tariff, $d\tau_{Aj} = dt$ for all j, is worth $\sum_j g_j\, dt$.

Proposition 5.2 (Uniform tariffs)**.** *Consider any balanced free-trade baseline at which MML holds; country sizes, origin shares, home biases and parameters may differ across countries. A uniform marginal tariff by A, $d\tau_{Aj} = dt > 0$ for all $j \neq A$, generates the disturbance*

$$F_j = -f_{Aj}\, \rho_D^A\, dt, \qquad \rho_D^A \equiv \eta_A h_A + (1 - h_A)(1 - \alpha_T^A) > 0, \tag{5.4}$$

where h_A is A's home share of tradable spending and η_A, α_T^A are A's own parameters. The tariff appreciates A's currency weakly against every partner, and strictly against every partner if A imports from all of them or J is irreducible. It therefore improves A's aggregate terms of trade and raises A's welfare to first order: $\sum_{j \neq A} g_j > 0$.

Proof sketch. At unchanged exchange rates A's tariffs move only the flows f_{Aj} (Eq. (A.1)). A uniform tariff raises every import price by the same amount, so relative import prices do not change and the cross-origin margin $(1 - \rho)$ drops out. Every import share then moves by $(1 - \eta_A) h_A\, dt$ and A's income by $m_A\, dt$, which gives Eq. (5.4). Since $F < 0$, Eq. (2.4) gives $d\nu \leq 0$, and Lemma 5.1 gives the welfare gain. The full proof is in Section B. □

At the symmetric benchmark $\rho_D^A = \rho_D$ and $f_{Aj} = m/(N-1)$, so Eq. (5.4) is the average-protection disturbance of Section 3.3. The proposition extends the conventional appreciation result from that benchmark to *any* balanced baseline. Every partner's trade balance is disturbed in the same direction, because a uniform tariff switches off cross-origin substitution, the force behind every reversal in this paper, and leaves only domestic diversion. Since $F \leq 0$ componentwise, Eq. (2.4) gives $d\nu \leq 0$ componentwise: disturbances of one sign

cannot produce responses of the opposite sign. The replication code confirms Eq. (5.4) to 10^{-12}, and the signs of F, $d\nu$ and the welfare change, on random asymmetric baselines with country-specific parameters and $N = 3, 4, 5$.

What the proposition does not say is that each component of the gradient is positive. A tariff on a single partner B does change relative import prices, and $R_{A|B}$ combines the favorable move against B with the moves against everyone else, which can be adverse. Sections 5.2 and 5.3 show that $g_B < 0$ is possible. Since the components sum to a positive number, with $N = 3$ the condition $g_B < 0$ implies $g_C > 0$: whenever a tariff on the target lowers welfare, a tariff on the bystander raises it.

At the symmetric benchmark the components are equal, so each is positive. Import weights and trade weights both equal $1/(N-1)$ there, so $R_{A|B} = d\nu_A^E/d\tau < 0$ (Proposition 3.2). **At the symmetric benchmark a unilateral tariff on one partner improves the tariffing country's aggregate terms of trade and raises its welfare to first order, even when it depreciates against every bystander.** Under bilateral retaliation the sign flips when $\rho > \rho_D$. For $N = 3$,

$$\frac{R_B^B + R_C^B}{2} = -\frac{\rho_D}{2M_3} :$$

the favorable move against the target always dominates the adverse move against the bystander when weights are equal.

Relation to optimal-tariff theory. A country with market power gains from a small tariff. This classic terms-of-trade argument is the starting point of Johnson (1953), who shows that a country with sufficient monopoly–monopsony power can remain better off than under free trade even after foreign retaliation. The argument has empirical support: Broda et al. (2008) find that countries not bound by WTO commitments set higher tariffs on goods whose foreign export supply is less elastic. Costinot et al. (2015) show, in a two-country Ricardian model with a continuum of goods, that optimal import tariffs are uniform across goods. Proposition 5.2 recovers the classic result for a small *uniform* tariff at any asymmetric baseline under MML, with the terms-of-trade gain delivered through the exchange rate. What fails is the partner-by-partner version. With many partners, a tariff on one of them also moves the terms of trade against the others. Nondiscrimination is what confines a country's tariffs to a single terms-of-trade channel (Bagwell and Staiger, 1999, 2002). Our results show a cost of discrimination from the imposing country's own point of view: even though A has market power against every partner, a tariff on a single partner can lower its welfare.

5.2 The aggregate terms-of-trade condition

Separate the target from the remaining suppliers, and let $\bar{R}^B_{-B} = \sum_{j \neq A,B} b_{Aj} R^B_j / (1 - b_{AB})$ be the conditional import-weighted bystander response. Then $R_{A|B} = b_{AB} R^B_B + (1 - b_{AB}) \bar{R}^B_{-B}$.

Definition 5.3 (Aggregate terms-of-trade condition)**.** Unilateral tariffs by A have the conventional aggregate terms-of-trade effect if, for every target B,

$$b_{AB} R^B_B + (1 - b_{AB}) \bar{R}^B_{-B} < 0. \tag{5.5}$$

If $R^B_B < 0$ and $\bar{R}^B_{-B} > 0$, the condition fails if and only if

$$\frac{\bar{R}^B_{-B}}{-R^B_B} > \frac{b_{AB}}{1 - b_{AB}}. \tag{5.6}$$

The left side is equilibrium incidence: the adverse bystander move relative to the favorable move against the target. The right side is exposure: A's import dependence on the target relative to other suppliers. A bilateral bystander reversal is therefore **necessary but not sufficient** for an aggregate reversal. The adverse moves must also be large enough and carry enough weight in A's basket.

In terms of Eq. (5.3), the condition requires every component g_B of the welfare gradient to be positive, whereas Proposition 5.2 guarantees only their sum. The condition has a three-country form for any configuration of bystanders simply because $\bar{R}^B_{-B}$ is defined as their import-weighted average; what does not carry over under heterogeneous bystanders is the representation of the bloc as an ordinary country with primitive parameters (Section 5.4).

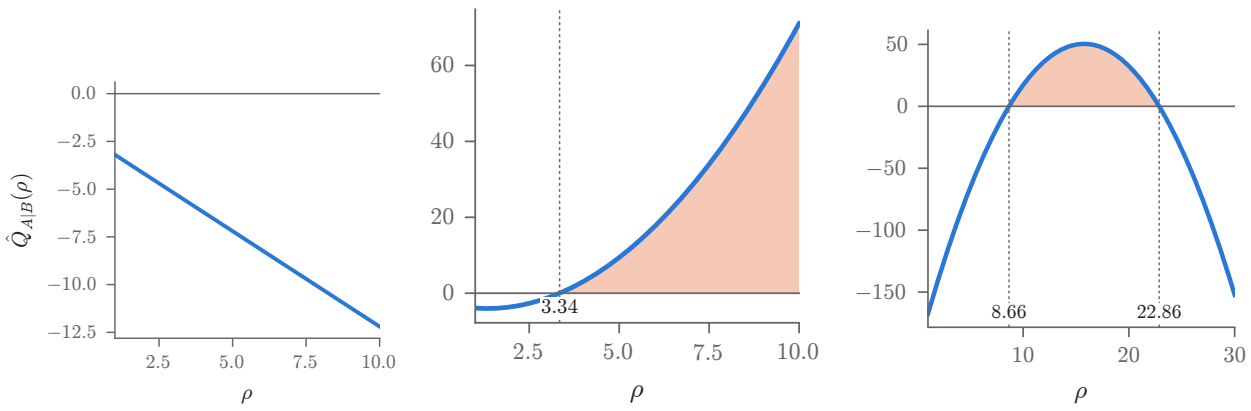
5.3 Asymmetric partners in the three-country model

In the three-country model the local system is $A(\rho)R = F(\rho)$ with $A \equiv -J$. At a given baseline every entry of A and F is affine in ρ, because ρ enters share responses only through $(1 - \rho)$. Since A is 2×2, its adjugate is affine too, and

$$R_{A|B}(\rho) = \frac{b' \operatorname{adj}(A(\rho)) F(\rho)}{\det A(\rho)}, \qquad b' \operatorname{adj}(A(\rho)) F(\rho) = q_2 \rho^2 + q_1 \rho + q_0 \equiv Q_{A|B}(\rho). \tag{5.7}$$

Under MML $\det A > 0$, so the aggregate condition is $Q_{A|B}(\rho) < 0$. The same structure governs the bilateral bystander response, whose numerator has leading coefficient

$$\alpha_T^2 \, b_{AB} b_{AC} b_{CA} b_{CB} (1 - h_A)(1 - h_C) y_A y_C > 0$$



(a) Symmetric **(b)** Small, low-weight target **(c)** Asymmetric network

Figure 6: Three relationships between ρ and the aggregate terms-of-trade condition. Each panel plots the normalized numerator $\hat{Q}_{A|B}(\rho)$ of Eq. (5.7) at a fixed baseline; the condition fails where $\hat{Q} > 0$ (shaded). (a) Symmetric benchmark: never crosses. (b) Example (b): single crossing at 3.34. (c) Example (c): crossings at 8.66 and 22.86. Signs verified against the linear solver.

(with a common α_T), where h_i are home shares of tradable spending and y_i incomes.

Proposition 5.4 (Three qualitative cases)**.** *Holding the baseline fixed:*

(a) ***Symmetric:*** $q_2 = 0$ *and* $Q < 0$ *for all* ρ*. The condition always holds.*

(b) $q_2 > 0$**,** $q_0 < 0$***:*** *exactly one positive root* ρ^**. The condition holds for* $\rho < \rho^*$ *and fails for* $\rho > \rho^*$*.*

(c) $q_2 < 0$**,** $q_1 > 0$**,** $q_0 < 0$**,** ***positive discriminant:*** *two positive roots. The condition fails only for intermediate* ρ*.*

Examples. All use $\alpha_D = 0.8$, $\alpha_T = 0.4$, $\eta = 1.5$ unless stated, with the free-trade baseline computed from primitives at $\bar{\rho} = 3\rho_D = 3.96$ and then held fixed; $\hat{Q}$ denotes Q normalized by $|q_2|$ (or by $|q_1|$ when $q_2 = 0$).

(a) Symmetric benchmark: $\hat{Q} = -(\rho + 2.2)$.

(b) Labor endowments $(L_A, L_B, L_C) = (1, 0.22, 1)$, $\beta_{AB} = 0.2$, $\beta_{AC} = 0.8$, other origin weights symmetric: $\hat{Q} = \rho^2 - 2.6695\rho - 2.2568$, so $\rho^* = 3.344$.

(c) A strongly asymmetric network, specified directly in baseline shares: $\alpha_T = 0.862$, $\eta = 3.007$, home shares $(0.201, 0.854, 0.360)$, origin shares $(b_{AB}, b_{AC}) = (0.525, 0.475)$, $(b_{BA}, b_{BC}) = (0.766, 0.234)$, $(b_{CA}, b_{CB}) = (0.407, 0.593)$, and incomes $(1, 5.126, 0.867)$, which balance trade at these shares. Then $\hat{Q} = -\rho^2 + 31.53\rho - 198.04$, so the condition fails for $8.66 < \rho < 22.86$.

Table 2: Sign of q_2 under size and import-weight asymmetry

	β_{AB}						
L_B/L_C	0.10	0.20	0.35	0.50	0.65	0.80	0.90
0.1	+2.6	+3.1	+4.0	+5.4	+7.9	+15.8	+63.3
0.2	+2.7	+3.3	+4.4	+6.3	+10.2	+27.4	−
0.4	+3.0	+3.8	+5.5	+8.8	+18.9	−	−
0.7	+3.3	+4.6	+7.9	+18.2	−	−	−
1	+3.8	+5.8	+13.7	0	−	−	−
1.5	+4.8	+10.6	−	−	−	−	−
2	+6.8	+>100	−	−	−	−	−
3	−	−	−	−	−	−	−
5	−	−	−	−	−	−	−

Notes: $N = 3$, US-like parameters, $L_A = L_C = 1$, $\beta_{BA} = \beta_{CA} = 0.5$. The free-trade baseline is computed from primitives at $\bar{\rho} = 3.96$ and held fixed. "+" means $q_2 > 0$: the aggregate terms-of-trade condition eventually fails as ρ rises; the small number is the root ρ^* beyond which it fails. "−" means $q_2 < 0$, so the condition holds for all ρ in this family. "0" is the symmetric benchmark. $q_0 < 0$ and MML hold in every cell.

Which asymmetries matter. Fix $L_A = L_C = 1$ and symmetric foreign-origin preferences for B and C. Vary the target's relative size L_B/L_C and its weight β_{AB} in A's imports, recomputing the free-trade equilibrium at $\bar{\rho} = 3\rho_D = 3.96$. In this family $q_0 < 0$ throughout and the two-root case never appears. The sign of q_2 therefore classifies whether a high enough ρ eventually overturns the condition (Table 2). Positive entries fill the upper-left region, where the target is small, has a low import weight, or both, with an approximate trade-off between size and weight.

Takeaway. The aggregate terms of trade, and hence the first-order welfare gain from a tariff, are most likely to *deteriorate* when three forces align:

1. the target is small relative to the untariffed suppliers;
2. the target has a small weight in the tariffing country's imports;
3. foreign suppliers are close substitutes (high ρ).

In that region the bystander depreciation is both large and heavily weighted, while the gain against the target is small and lightly weighted. **A country can lower its own welfare by tariffing a small partner whose goods are easily replaced by others'.** This happens not because the tariff fails to divert expenditure, but because the diversion is so complete that the price of the replacements rises. By Proposition 5.2, the same country gains from a uniform tariff at the same baseline. In the "+" cells of Table 2, $g_B < 0$ beyond the root, so $g_C > 0$ there: tariffing the bystander instead would pay. **The gains from protection**

Table 3: Bystander reversal, NEER depreciation and aggregate terms of trade under a unilateral tariff, $N = 3$

w_{AC}	L_B	$d\nu_C > 0$ for $\rho >$	$d\nu_A^E > 0$ for $\rho >$	$R_{A\|B} > 0$ for $\rho >$
0.75	0.49	2.72	4.98	3.97
0.85	0.22	2.59	3.97	3.40
0.90	0.12	2.52	3.66	3.20

Notes: US-like parameters common to all countries, $\beta_{AB} = 0.2$, all other primitives symmetric. L_B is set so that A's baseline trade weight on C equals w_{AC} at $\rho = 3\rho_D$. Primitives are then held fixed and the free-trade baseline is re-solved at each ρ. $d\nu_A^E$ is the trade-weighted NEER; $R_{A|B}$ is the import-weighted aggregate terms of trade of Eq. (5.1). MML holds for all $\rho \leq 20$.

are guaranteed only for uniform protection; discrimination can backfire. The two-root case requires richer network asymmetry: in a representative example, $L_B/L_C = 2$, $\beta_{AB} = 0.2$, $\beta_{BA} = 0.9$ and $\beta_{CA} = 0.1$, the condition fails for $6.29 < \rho < 15.03$.

The trade-weighted NEER. The same logic applies to the NEER with trade weights. When the bystander carries most of A's trade, the NEER can depreciate under a *unilateral* tariff. Table 3 fixes $\beta_{AB} = 0.2$ and sets L_B so that w_{AC} takes the stated value. Its last column shows that the trade-weighted and import-weighted thresholds differ substantially in the same economy. In the second row, whose primitives are nearly those of example (b), the NEER depreciates only for $\rho > 3.97$, whereas the aggregate terms of trade deteriorate for $\rho > 3.40$ (3.34 at the fixed baseline of example (b)). The gap is a matter of weighting, not of method. A buys little from B but B buys a good deal from A, so the target's weight in A's trade ($w_{AB} = 0.15$) exceeds its weight in A's imports ($b_{AB} = 0.095$). The favorable move against the target therefore counts for more in the NEER than in the welfare-relevant terms of trade.

Other casualties of asymmetry (Section C).

- *Thresholds move.* Near the symmetric point the bystander threshold rises with the target's import weight ($d\rho^*/d\beta_{AB} = +3.70$), with its size ($+0.99$) and with A's home bias ($+5.31$), and falls slightly with bystander size (-0.20), at the calibration $\alpha_D = 0.7$, $\alpha_T = 0.6$, $\eta = 1.5$ of Fig. 2; the US-like values have the same signs (Table 6).
- *Thresholds can disappear.* With primitives rather than shares held fixed, a higher ρ also shifts baseline shares toward the cheapest origin, and a large target can crowd the bystander out of A's imports. At the same calibration, with $L_B = 2.2$ the bystander reverses only for $5.99 < \rho < 53.8$, and with $L_B \geq 2.6$ it never reverses for $\rho \leq 1000$.

- *The ordering $d\nu_B < d\nu_C$ can fail*, but in every case found only with $\rho < \eta$.

5.4 Heterogeneous bystanders

With asymmetric bystanders the composite of Proposition 3.4 no longer exists. Partition the system into the target and the remaining countries R. With q denoting A's import weights within R,

$$d\nu_C^A \equiv q' d\nu_R = -q' J_{RR}^{-1} J_{RB}\, d\nu_B - q' J_{RR}^{-1} F_R\, d\tau, \tag{5.8}$$

which depends on the full internal adjustment structure of the bloc. The aggregate terms-of-trade condition still has three-country form, by the definition of $\bar{R}_{-B}^{B}$, but the bloc cannot generally be represented by a country with primitive parameters. Reversal and the failure of aggregation share an origin. The nested structure that lets ρ direct expenditure toward other foreign suppliers is exactly what makes it matter *which* suppliers receive it. With a single, unnested elasticity the bloc aggregates exactly, but bystander reversal disappears.

5.5 A stylized reading of the 2025 episode

We do not calibrate. A static, long-run, balanced-trade model compared against monthly exchange-rate data is not a test, and Section 5.3 shows that the answer under realistic asymmetry depends on network details that a three-country stylization cannot capture. We therefore ask only which way each feature of the 2025 episode pushes the trade channel, and we apply the same standard in both directions: a movement is *consistent with* the trade channel when the model predicts its sign in the relevant configuration, and *not explained by* the trade channel when the model predicts the opposite sign for every admissible ρ. Neither statement attributes the movement to its cause. The rule applies to a phase only insofar as the phase approximates a single configuration of the model, and in 2025 none did cleanly: each phase mixed discriminatory, retaliatory and near-uniform elements. Figure 7 shows the exchange rates and the tariff timeline, and Table 4 reports the change within each phase. Exchange-rate changes are measured relative to the January 2025 average, before the first tariff order of February 1, and signed so that a positive number is a dollar depreciation. The model's effective exchange rate corresponds to the full broad dollar index, which includes China; the index excluding China isolates the bystanders.

Phase 1: unilateral tariffs on China (February 1–April 2). The United States raised tariffs on China by 20 percentage points in two steps, effective February 4 and March 4. China's countermeasures in this phase were product-specific rather than across the board, and there was no general US tariff on third countries. The phase was not a clean unilateral

Table 4: Exchange-rate changes within each phase of the 2025 episode (%, positive = dollar depreciation)

	Unilateral Feb 1–Apr 2		Retaliation Apr 3–May 12		Near-uniform Aug 7–Dec 31	
	Monthly	Daily	Monthly	Daily	Monthly	Daily
EUR	4.4	4.5	3.9	2.2	0.3	0.8
CNY	0.6	−0.3	−0.7	0.9	1.9	2.7
CAD	0.2	1.0	2.7	2.2	−0.7	0.2
MXN	1.6	0.6	1.0	4.5	3.4	3.5
VND	−1.8	−2.1[a]	−0.5	−0.5[a]	0.0	0.5[a]
Broad index	2.1	1.7	1.7	2.3	−0.1	0.6
Broad index ex. China	2.2	1.9	2.0	2.5	−0.3	0.4

Notes: "Daily": from the last close before the phase to the last close in it. "Monthly": from the average of the month before the phase to the average of its last full month (January to March, March to April, July to December). USD/EUR, USD/CNY, USD/CAD and USD/MXN are H.10 noon rates; the broad index is the Federal Reserve's nominal broad dollar index, and the index excluding China removes the renminbi using its H.10 weight. [a]No daily VND series is available; BIS end-of-month rates over the same months. Sources as in Fig. 7.

experiment, however. US tariffs of 25 percent on Canada and Mexico took effect on March 4, and Canada retaliated the same day with a 25 percent surtax on C$30 billion of US goods (Department of Finance Canada, 2025); Canada and Mexico together carry 27.6 percent of the broad index. The configuration mixed a unilateral, discriminatory tariff on China with a retaliatory leg in North America. The US–China leg behaved as predicted: the dollar was roughly unchanged against the renminbi (−0.3 percent on daily data, +0.6 percent on monthly averages), with no sign of a depreciation against the target. Against bystanders the dollar weakened, by 4.5 percent against the euro and 1.9 percent against the broad index excluding China from the end of January to April 2, which is consistent with the trade channel if foreign suppliers are close substitutes ($\rho > N\rho_D$). Against the full broad index, which includes China, it weakened by 1.7 percent. A purely unilateral tariff predicts effective appreciation, but retaliation predicts effective depreciation once $\rho > \rho_D$ (Proposition 4.1), so in this mixed phase the effective move is not a test of either. Nearly all of the phase's effective movement came in the week of March 3–7 (1.8 percent against the broad index), which combined the North American tariffs and Canadian retaliation with the announcement by Germany's prospective governing parties of a large defence and infrastructure package and a loosening of the debt brake (Ripper, 2025). In that week the dollar fell by 4.4 percent against the euro, 1.3 percent against the peso and 0.3 percent against the Canadian dollar. The data do not separate these forces.

Phase 2: retaliation (April 3–May 12). China retaliated nearly one-for-one (US 145 percent, China 125 percent), while the United States imposed only a 10 percent baseline tariff on others. The configuration moves toward bilateral retaliation, and the bystander threshold falls from about $N\rho_D$ to ρ_D:

- *Retaliation points to dollar depreciation against bystanders.* At US-like parameters $\rho_D \approx 1.3$, below almost all cross-origin estimates. The model predicts a roughly stable USD/RMB rate together with dollar weakness against bystanders and in effective terms. That is the pattern of the phase: the dollar moved little against the renminbi (+0.9 percent from April 2 to May 12, −0.7 percent between the March and April averages), but fell by 2.2–3.9 percent against the euro and by 2.0–2.5 percent against the broad index excluding China (Table 4). It is also the event-study regularity of Ostry et al. (2025).

- *Expected retaliation works the same way, as a matter of interpretation.* Our model is static, so expectations enter only through the tariff structure agents expect to persist. If markets price the long-run configuration as retaliatory, the relevant comparative static is Proposition 4.1, not Proposition 3.2. In a forward-looking extension, credible threats of retaliation would then move exchange rates before retaliation occurs. This is an interpretation, not a result of the model.

- *High cross-origin substitutability points the same way.* Trade between China and other suppliers, especially Vietnam, Mexico and other Asian producers, reallocated quickly (Fajgelbaum et al., 2024; Freund et al., 2024; Alfaro and Chor, 2023). That is the high-ρ environment in which diversion is strong.

- *China's size does not.* China is large in absolute terms and a substantial US supplier. Near the symmetric point, a larger target and a larger import weight on the target both *raise* the bystander threshold (Section 5.3). They also move the aggregate terms-of-trade condition toward its conventional sign.[1] The configuration is therefore not clear-cut. Retaliation and ρ lean toward dollar depreciation against bystanders, while

[1] Placed in the grid of Table 2 with 2024 data (US imports by origin from the US Census Bureau, China's from its customs statistics, the rest of the world's trade with both as residuals, and sizes from PPP GDP), a US–China–rest-of-world configuration falls in the region where $q_2 > 0$. In a three-country network calibrated to the observed import-origin shares, the aggregate terms-of-trade condition for a US tariff on China fails only for ρ above about 4.5–4.7, while the bilateral bystander threshold is about 3.9–4.0; the ranges span a common US-like home bias and the measured US home share. The bystander threshold lies at the upper end of the central range of estimates, $\rho \in [2, 4]$, and the aggregate threshold just above it. The calibration imposes a balanced baseline, ignores gaps between mirror trade statistics and uses model-implied home shares for China and the rest of the world. It places the episode on the map; it is not a calibration of exchange rates.

China's weight leans against it. Where the balance falls depends on bilateral shares and sizes that a three-country stylization summarizes too crudely.

Phase 3: near-uniform tariffs (August 7–December 31). After the Geneva truce (effective May 14) the US tariff on China was 30 percent, falling to 20 percent on November 10, and China kept a 10 percent tariff on all US goods. Under the framework agreements in force from August 7, US tariffs were 15 percent on the EU and 10–20 percent on most others. Relative treatment had narrowed but not disappeared. Until November 10, China faced 30 percent against 10–20 percent for most others, and China's retaliation remained in place; in North America, the US rate on non-USMCA Canadian goods rose to 35 percent on August 1, and Canada's countermeasures on steel, aluminium and autos stayed in force. For the uniform component the relevant experiment is average protection, which predicts mild dollar appreciation in effective terms (Proposition 5.2). The residual tariff gaps, met by retaliation, are retaliation configurations in miniature, and they lean toward effective depreciation if $\rho > \rho_D$. Within the phase the dollar showed no sign of the predicted appreciation: the broad index barely moved (-0.1 to $+0.6$ percent, Table 4). In levels, the dollar in December was 13.1 percent weaker against the euro, 7.2 percent weaker against the broad index and 7.7 percent weaker against the index excluding China than in January. That level sums all phases, including retaliation, and most of it built up before August: from Geneva to August 6 alone the dollar fell by a further 4.9 percent against the euro and 2.5 percent against the broad index. Forces outside the model that plausibly matter for the level include risk premia and tariff uncertainty, the erosion of convenience yields, valuation effects, monetary policy and expectations of renewed escalation.

Vietnam illustrates the classification point. The dollar strengthened against the dong through 2025, by 3.2 percent between January and December, nearly all of it by July, which looks inconsistent with a bystander-depreciation story. But Vietnam was itself a principal target: a 46 percent rate was announced in April, and a 20 percent rate applied from August 7. From August 7 to November 10, Vietnam's 20 percent against China's 30 percent was relative treatment in Vietnam's favour, a bystander-like position in which strong diversion leans toward dollar weakness against the dong. Only after November 10, when both faced 20 percent, was there little relative treatment between them, so that the model predicts the conventional own-tariff result. Within the near-uniform phase the rate was roughly flat (0.0 to $+0.5$ percent).

What a quantitative general trade model would need. The analysis says what to look for in richer models. Retaliation lowers the threshold for multilateral depreciation. High cross-origin substitutability raises the diversion force. Large, heavily weighted targets work against both. Near-uniform tariffs collapse the problem back to average protection. Quantitative multi-country models with input–output linkages (e.g., Ignatenko et al., 2025; Darracq Pariès et al., 2026) can contain all of these features. Our results identify which combinations of them determine the sign.

6 Conclusion

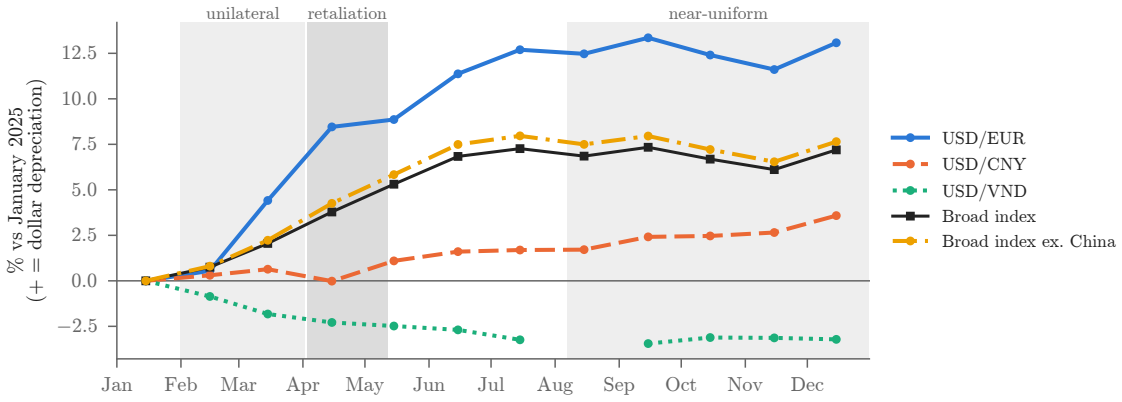
In a two-country world, the bilateral exchange rate, the effective exchange rate and the terms of trade coincide, and a tariff appreciates the tariffing country's currency wherever Marshall–Lerner holds. In a multilateral world they separate. We have characterized what the real trade channel implies once they do.

The general response is the inverse of a multilateral adjustment matrix applied to a vector of tariff disturbances. A multilateral Marshall–Lerner condition makes adjustment well behaved without fixing the sign of any bilateral response. Under symmetry, average protection moves the effective rate and relative treatment moves bilateral rates around it. In a nested-CES model the conventional result survives exactly at the effective level under unilateral tariffs. It fails bilaterally against bystanders when cross-origin substitution exceeds N times the domestic diversion margin. An exact three-country representation shows that the role of N comes from the inward-looking, highly substitutable trade of the bystander bloc, not from its size. Under bilateral retaliation the belligerents' bilateral rate is unchanged, and once cross-origin substitution exceeds the domestic diversion margin itself each belligerent depreciates against bystanders and in effective terms; only in a multilateral tariff war does the tariffing country depreciate against everyone. Under asymmetry, even the effective and welfare-relevant conclusions can fail for discriminatory tariffs: tariffing a small, lightly weighted partner whose goods are easily replaced can worsen the tariffing country's aggregate terms of trade. A uniform tariff, by contrast, appreciates the currency against every partner and raises welfare at any baseline under MML. The gains from protection are guaranteed only for uniform protection.

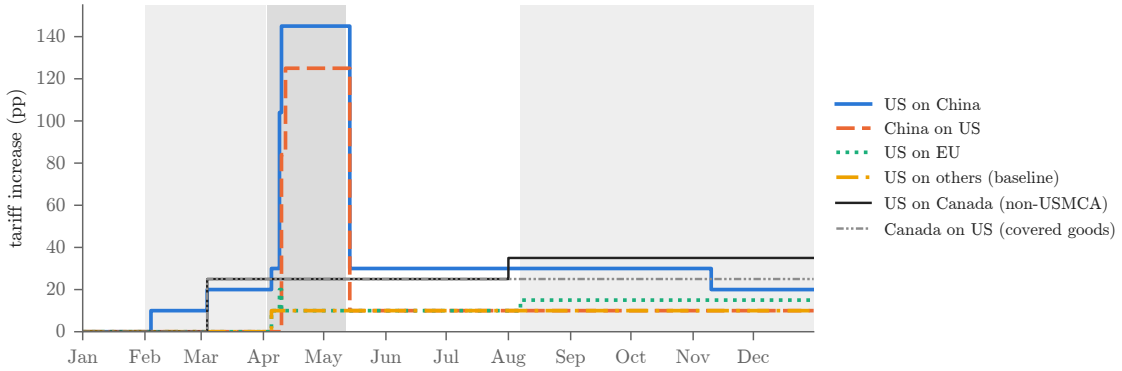
The implications run both ways. Appreciation against a tariffed partner is not evidence of broad currency strength. A multilateral depreciation during a discriminatory or retaliatory tariff episode can be consistent with the trade channel, so the two-country prediction alone does not show that financial forces were at work. Conversely, in a unilateral or nearly uniform configuration the trade channel predicts effective appreciation, so effective weakness in such

a configuration is not explained by it. Whether an episode is such a configuration has to be checked phase by phase, because actual episodes mix unilateral, retaliatory and near-uniform elements.

Natural next steps are to embed the decomposition in a quantitative multi-country model with input–output linkages and heterogeneous elasticities, and to add nominal rigidities, invoicing and a financial account. This would let the long-run real benchmark derived here interact with the short-run monetary and portfolio dynamics that dominate exchange rates at business-cycle frequencies.



(a) Exchange rates, % deviation from the January 2025 average (positive = dollar depreciation)



(b) Headline tariff increases above the pre-2025 baseline (percentage points)

Figure 7: The 2025 episode through the lens of the decomposition (stylized). Shading marks the unilateral phase (February 1–April 2), the retaliation phase (April 3–May 12, to the Geneva statement) and the near-uniform phase (framework rates in force from August 7). (a) Monthly averages of USD per EUR, CNY and VND, the Federal Reserve H.10 nominal broad dollar index, and the broad index with the renminbi removed using its published H.10 weight and renormalized (both indices inverted so that a rise is a dollar depreciation), all relative to the January 2025 average, before the first tariff order. The August VND average is missing in the source. (b) Effective dates of headline rates: the US tariff on China, China's across-the-board tariff on the United States (China's product-specific countermeasures of February and March are not shown), the US tariff on the EU (the August rate is the 15 percent all-in rate) the US baseline on other partners, the US tariff on Canada (from March 7 on non-USMCA goods only; the rate on Mexico is the same until August 1 and 25 percent thereafter) and Canada's 25 percent surtax on covered US goods (coverage widened on March 13 and April 9 and narrowed to steel, aluminium and autos on September 1). No model magnitudes are plotted. Sources: FRED (DEXUSEU, DEXCHUS, DEXCAUS, DEXMXUS, DTWEXBGS), Federal Reserve H.10 weights, BIS (VND), Federal Register, Department of Finance Canada and China's State Council Tariff Commission announcements.

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A The Linearized System

At a balanced free-trade baseline, let b_{ij} be origin shares within i's import bundle, h_i home shares of i's tradable spending, $y_i \equiv \tilde{I}_i$ incomes in the common currency, $s_{ij} = \alpha_T(1-h_i)b_{ij}$ the share of i's income spent on j's good, and $f_{ij} = s_{ij}\tilde{I}_i$; at the symmetric point $h_i = \alpha_D$ and $m = \alpha_T(1-\alpha_D)$. Exchange rates are $\nu_j = \log e_{Aj}$ with $\nu_A \equiv 0$, so $d\log e_{ij} = d\nu_j - d\nu_i$ for all $i, j \in \mathcal{I}$. Log-differentiating the demand system, Eq. (3.2) and Eq. (3.3), with η (and, if desired, ρ) allowed to differ by country,

$$\begin{aligned}
dp_{ij} &= d\nu_j - d\nu_i + d\tau_{ij}, \qquad dp_{ii} = 0, \\
d\log P_{Mi} &= \textstyle\sum_{j\neq i} b_{ij}\, dp_{ij}, \qquad d\log P_{Ti} = (1-h_i)\, d\log P_{Mi}, \\
d\log s_{ii} &= -(1-\eta)(1-h_i)\, d\log P_{Mi}, \\
d\log s_{ij} &= (1-\rho)(dp_{ij} - d\log P_{Mi}) + (1-\eta)h_i\, d\log P_{Mi}, \\
d\log \tilde{I}_i &= d\nu_i + \textstyle\sum_{j\neq i} s_{ij}\, d\tau_{ij}, \\
d\mathrm{TB}_i &= \textstyle\sum_{k\neq i} f_{ki}(d\log s_{ki} + d\log \tilde{I}_k - d\tau_{ki}) - \sum_{j\neq i} f_{ij}(d\log s_{ij} + d\log \tilde{I}_i - d\tau_{ij}).
\end{aligned} \tag{A.1}$$

The income equation uses that at free trade $d[\tau_{ij}/(1+\tau_{ij})] = d\tau_{ij}$ and that changes in realized shares are multiplied by zero tariffs, so only the direct revenue term survives. These equations determine the matrices J and G of Eq. (2.2), and hence $G^{(A)}$ of Section 2.4, at any free-trade baseline, as general functions of (y_i, h_i, b_{ij}), the elasticities and an arbitrary matrix of tariff changes. In the replication code they are implemented directly and checked against central finite differences of the nonlinear N-country solver at tariffs of $\pm 10^{-4}$, with agreement to better than 10^{-6} at symmetric and asymmetric baselines.

Lemma A.1 (Jacobian at the symmetric baseline)**.** *At the symmetric balanced baseline, where $b_{ij} = 1/(N-1)$ and $f_{ij} = m/(N-1)$, the full Jacobian with respect to log currency values (Section 2.3) is $\tilde{J}_{il} = mM_N/(N-1)$ for $i, l \in \mathcal{I}$ with $l \neq i$, and $\tilde{J}_{ii} = -mM_N$. Deleting row and column A gives the reduced matrix $J = (\tilde{J}_{il})_{i,l\in\mathcal{I}_{-A}}$, with*

$$-J = c\,(NI - \mathbf{1}\mathbf{1}'), \qquad c \equiv \frac{mM_N}{N-1}, \qquad j_S = c, \qquad j_D = Nc. \tag{A.2}$$

Proof. Work in the common unit of account: since $\nu_j = \chi_j - \chi_A$ and $v_A = 1$, Eq. (A.1) holds with each $d\nu_i$ replaced by $d\chi_i$, $i \in \mathcal{I}$, and $\tilde{I}_i$ read as common-unit income. Set $d\tau = 0$, so $dp_{ij} = d\chi_j - d\chi_i$ and $d\log \tilde{I}_i = d\chi_i$. Writing $\Sigma \equiv \sum_{j\in\mathcal{I}} d\chi_j$,

$$d\log P_{Mk} = \frac{\Sigma - N\, d\chi_k}{N-1}, \qquad \frac{\partial \log P_{Mk}}{\partial \chi_l} = \frac{1 - N\delta_{kl}}{N-1}.$$

On the import side $\sum_{j\neq i}(dp_{ij} - d\log P_{Mi}) = 0$, so the $(1-\rho)$ terms cancel when $d\log s_{ij}$ is summed over $j \neq i$, leaving $\sum_{j\neq i} d\log s_{ij} = (N-1)(1-\eta)\alpha_D\, d\log P_{Mi}$. Substituting into the trade-balance equation,

$$d\mathrm{TB}_i = \frac{m}{N-1}\Big[\sum_{k\neq i}(d\log s_{ki} + d\chi_k) - (N-1)(1-\eta)\alpha_D\, d\log P_{Mi} - (N-1)\, d\chi_i\Big].$$

Fix $l \neq i$ and differentiate term by term:

$$\frac{\partial}{\partial \chi_l}\sum_{k\neq i}\log s_{ki} = -(1-\rho)\frac{N-2}{N-1} - \frac{(1-\eta)\alpha_D}{N-1}.$$

The export income terms contribute one, the import-side price-index term contributes $-(1-\eta)\alpha_D$, and the import income term contributes zero. Collecting terms,

$$\widetilde{J}_{il} = \frac{m}{(N-1)^2}\Big[(N-1) - (1-\rho)(N-2) + N\alpha_D(\eta-1)\Big] = \frac{mM_N}{N-1}.$$

The diagonal follows from homogeneity, $\widetilde{J}_{ii} = -(N-1)\widetilde{J}_{il} = -mM_N$. Deleting row and column A leaves diagonal entries $c(N-1)$ and off-diagonal entries $-c$, which is Eq. (A.2); its eigenvalues are c on $\mathrm{span}\{\mathbf{1}\}$ and Nc on the zero-sum subspace. □

The tariff disturbance. At unchanged exchange rates only partner i's exports to A are directly affected by a change in A's tariffs t, so

$$d\mathrm{TB}_i\Big|_{\nu} = f_{Ai}\Big(d\log s_{Ai} + d\log \tilde{I}_A - t_i\Big) = \frac{m}{N-1}\Big[-\rho_D\,\bar{t} - \rho\,(t_i - \bar{t})\Big]. \tag{A.3}$$

Indeed, $d\log P_{MA} = \bar{t}$, $d\log s_{Ai} = (1-\rho)(t_i - \bar{t}) + (1-\eta)\alpha_D\bar{t}$ and $d\log \tilde{I}_A = m\bar{t}$, and $1 - (1-\eta)\alpha_D - m = \rho_D$. Reading off the coefficients on $\bar{t}$ and $\widetilde{t}_i$ gives the eigenvalues of $G^{(A)}$,

$$g_S = -\frac{m\rho_D}{N-1}, \qquad g_D = -\frac{m\rho}{N-1}, \tag{A.4}$$

and dividing by the eigenvalues in Eq. (A.2) gives $\lambda_{\mathrm{avg}} = -\rho_D/M_N$ and $\lambda_{\mathrm{rel}} = -\rho/(NM_N)$, the coefficients of Theorem 3.1.

The two-country case. At $N = 2$ each country has a single import origin, so $dp_{AB} = d\log P_{MA} = d\nu_B + d\tau$ and $dp_{BA} = d\log P_{MB} = -d\nu_B$. Then

$$d\log s_{AB} = (1-\eta)\alpha_D(d\nu_B + d\tau), \qquad d\log s_{BA} = -(1-\eta)\alpha_D\, d\nu_B,$$
$$d\log \tilde{I}_A = m\, d\tau, \qquad d\log \tilde{I}_B = d\nu_B.$$

Substituting into the trade balance, and using that the tariff wedge lowers the border value of A's imports by $d\tau$,

$$d\mathrm{TB}_A = m\Big[\big(1+2\alpha_D(\eta-1)\big)d\nu_B + \big(1-m+\alpha_D(\eta-1)\big)d\tau\Big],$$

which is the two-country system with $M_2 = 1+2\alpha_D(\eta-1)$ and $\rho_D = 1-m+\alpha_D(\eta-1) = \alpha_D\eta + (1-\alpha_D)(1-\alpha_T)$; Eq. (3.4) follows.

For the elasticity form of Section 2.1, let Q_M be A's import volume, with consumer price $p = p_{AB} = (1+\tau)e_{AB}$, and Q_X its export volume, whose price in B's currency is $1/e_{AB}$. At $\tau = 0$ incomes are fixed in own currency when ν moves. Since import spending is $s_{AB}I_A = pQ_M$, at fixed τ

$$\varepsilon_M \equiv -\frac{\partial \log Q_M}{\partial \nu} = -\frac{\partial \log Q_M}{\partial \log p} = 1 - \frac{\partial \log s_{AB}}{\partial \log p} = 1+\alpha_D(\eta-1),$$

and by symmetry $\varepsilon_X \equiv \partial \log Q_X/\partial\nu = 1+\alpha_D(\eta-1)$. With $\mathrm{TB}_A = Q_X - e^{\nu}Q_M$, Section 2.1 gives $\mathrm{TB}_{A\nu} = X(\varepsilon_X+\varepsilon_M-1)$. Hence $\varepsilon_X+\varepsilon_M-1 = M_2$, and the stability condition $M_2>0$ is exactly $\varepsilon_X+\varepsilon_M>1$.

The unilateral tariff. For $t = d\tau\, e_B$, $\bar{t} = d\tau/(N-1)$, $\widetilde{t}_B = \frac{N-2}{N-1}d\tau$ and $\widetilde{t}_C = -\frac{d\tau}{N-1}$. By Theorem 3.1,

$$d\nu_B = \frac{\lambda_{\mathrm{avg}} + (N-2)\lambda_{\mathrm{rel}}}{N-1}\,d\tau = -\frac{N\rho_D + (N-2)\rho}{N(N-1)M_N}\,d\tau,$$
$$d\nu_C = \frac{\lambda_{\mathrm{avg}} - \lambda_{\mathrm{rel}}}{N-1}\,d\tau = \frac{\rho - N\rho_D}{N(N-1)M_N}\,d\tau,$$

while $d\log e_{BC} = d\nu_C - d\nu_B = -\lambda_{\mathrm{rel}}\,d\tau$ and $d\nu_A^E = \lambda_{\mathrm{avg}}\,d\tau/(N-1)$. The bystander's disturbance follows from Eq. (A.3) with $t_C = 0$: $F_C = \frac{m}{N-1}\Big[-\frac{\rho_D}{N-1}+\frac{\rho}{N-1}\Big]$, which is Eq. (3.10).

The single-elasticity case. By the definition of ρ_D, $N\rho_D = N[1+\alpha_D(\eta-1)-\alpha_T(1-\alpha_D)]$, which rearranges to Eq. (3.9); both terms on its right-hand side are nonnegative for $\alpha_D \geq 1/N$, and equality requires $\alpha_D = 1/N$ and $\alpha_T = 1$. At $\alpha_D = 1/N$ with $\rho = \eta = \sigma$, $N\rho_D - \sigma = (N-1)(1-\alpha_T)$ and $M_N = \sigma$, so $d\nu_C/d\tau = -(1-\alpha_T)/(N\sigma)$.

Relative treatment across partners. With $\bar{t} > 0$, A depreciates against partner j if and only if

$$\frac{\rho}{N}(\bar{t}-t_j) > \rho_D\,\bar{t} \qquad\Longleftrightarrow\qquad \frac{t_j}{\bar{t}} < 1 - \frac{N\rho_D}{\rho}, \tag{A.5}$$

which follows by substituting λ_{avg} and λ_{rel} into $d\nu_j = \lambda_{\text{avg}}\bar{t} + \lambda_{\text{rel}}(t_j - \bar{t})$. The right-hand side is positive only if $\rho > N\rho_D$, so depreciation against a relatively lightly taxed partner requires both $\rho > N\rho_D$ and a sufficiently large tariff differential.

Tariffs on several partners. If A raises its tariff by $d\tau$ on a set of k partners, $1 \le k \le N-1$, then for every untargeted partner C and every targeted partner B,

$$\frac{d\log e_{AC}}{d\tau} = \frac{k(\rho - N\rho_D)}{N(N-1)M_N}, \qquad \frac{d\log e_{AB}}{d\tau} = -\frac{Nk\rho_D + (N-1-k)\rho}{N(N-1)M_N}, \qquad \frac{d\nu_A^E}{d\tau} = -\frac{k\rho_D}{(N-1)M_N}. \tag{A.6}$$

This follows by substituting $\bar{t} = k\,d\tau/(N-1)$, $\widetilde{t}_B = (N-1-k)\,d\tau/(N-1)$ and $\widetilde{t}_C = -k\,d\tau/(N-1)$ into Eq. (3.7). For every $k \le N-2$ the bystander response has the same threshold, $\rho > N\rho_D$.

Real exchange rates. From $q_{Aj} = e_{Aj}P_j/P_A$, with P_i the consumer price index in own currency and P_{Ni} fixed, $d\log q_{Aj} = d\nu_j + \alpha_T(1-\alpha_D)(d\log P_{Mj} - d\log P_{MA})$. For a tariff vector t imposed by A alone, symmetry (with the equal weights of the symmetric benchmark) gives $d\log P_{MA} = d\nu_A^E + \bar{t}$ and $d\log P_{Mj} = d\nu_A^E - \frac{N}{N-1}d\nu_j$ for a partner that imposes no tariff. Hence

$$d\log q_{Aj} = \left(1 - \frac{mN}{N-1}\right)d\nu_j - m\bar{t}, \qquad d\log q_{Aj} - dq_A^E = \left(1 - \frac{mN}{N-1}\right)\lambda_{\text{rel}}\widetilde{t}_j, \tag{A.7}$$

with $dq_A^E \equiv \frac{1}{N-1}\sum_{j\neq A} d\log q_{Aj}$ the real effective rate at these equal weights, which with Eq. (3.7) gives Eq. (3.14). For a unilateral tariff, $d\log q_{Aj} = (1 - \frac{mN}{N-1})d\nu_j - \frac{m}{N-1}d\tau$ for $j = B, C$, and averaging,

$$\frac{dq_A^E}{d\tau} = -\left(1 - \frac{mN}{N-1}\right)\frac{\rho_D}{(N-1)M_N} - \frac{m}{N-1}. \tag{A.8}$$

Three-country illustration. At $N = 3$, Eqs. (A.2) and (A.3) give the unilateral-tariff system explicitly:

$$J = -\frac{mM_3}{2}\begin{pmatrix} 2 & -1 \\ -1 & 2 \end{pmatrix}, \qquad F = -\frac{m}{4}\begin{pmatrix} \rho + \rho_D \\ \rho_D - \rho \end{pmatrix}, \qquad M_3 = \frac{3\alpha_D(\eta - 1) + \rho + 1}{2}. \tag{A.9}$$

With $M_3 > 0$,

$$\frac{d\log e_{AB}}{d\tau} = -\frac{\rho + 3\rho_D}{6M_3} < 0, \qquad \frac{d\log e_{AC}}{d\tau} = \frac{\rho - 3\rho_D}{6M_3}, \qquad \frac{d\log e_{BC}}{d\tau} = \frac{\rho}{3M_3} > 0. \quad \text{(A.10)}$$

Thus A appreciates against B, B depreciates against C, and A depreciates against C if and only if $\rho > 3\rho_D$. By Eq. (2.4), $d\nu_C/d\tau \propto F_B + 2F_C \propto \rho - 3\rho_D$, so the sign of C's own disturbance F_C, which is positive once $\rho > \rho_D$, does not settle the sign of $d\nu_C$; Fig. 2a illustrates the intermediate case.

B Proofs

Throughout, $m \equiv \alpha_T(1-\alpha_D)$ and all derivatives are evaluated at a balanced free-trade baseline (Section A).

Proof of Lemma 2.3. Trade balances are measured in the common unit of account of Section 2.1. Scaling every currency value v_l, $l \in \mathcal{I}$, by a common factor leaves all relative prices unchanged and scales every common-unit income, and hence every flow f_{ij} and trade balance TB_i, by the same factor, so TB_i is homogeneous of degree one in currency values. By Euler's theorem $\sum_{l\in\mathcal{I}} \widetilde{J}_{il} = \mathrm{TB}_i$, which is zero at the balanced baseline. Summing Eq. (3.3) over $i \in \mathcal{I}$ gives $\sum_{i\in\mathcal{I}} \mathrm{TB}_i \equiv 0$, so $\sum_{i\in\mathcal{I}} \widetilde{J}_{il} = 0$. By gross substitutability, $\widetilde{J}_{il} \geq 0$ for $l \neq i$, so $\widetilde{J}_{ii} = -\sum_{l\neq i} \widetilde{J}_{il} \leq 0$. Since $\nu_l = \chi_l - \chi_A$ and χ_A is fixed by $v_A = 1$, the reduced matrix is $J = (\widetilde{J}_{il})_{i,l\in\mathcal{I}_{-A}}$, obtained by deleting row and column A. Its off-diagonal entries are nonnegative, and for each $i \in \mathcal{I}_{-A}$

$$|J_{ii}| - \sum_{l\in\mathcal{I}_{-A}, l\neq i} J_{il} = \widetilde{J}_{iA} \geq 0,$$

with strict inequality in every row $i \in \mathcal{I}_{-A}$ for which $\widetilde{J}_{iA} > 0$, and by hypothesis there is at least one such row. Row A plays no role, because it is deleted from the reduced system. Thus $-J$ is a Z-matrix that is weakly diagonally dominant, irreducible, and strictly diagonally dominant in at least one row. Its diagonal is strictly positive, since $|J_{ii}| = 0$ would force row i of J to vanish, contradicting irreducibility. Write $-J = D - K$ with $D = \mathrm{diag}(-J) > 0$ and $K \geq 0$. Every row sum of $D^{-1}K$ is at most one and at least one is strictly below one; with irreducibility, its spectral radius is $r < 1$. Hence $(-J)^{-1} = (I - D^{-1}K)^{-1}D^{-1} = \sum_{k\geq 0}(D^{-1}K)^k D^{-1} \geq 0$ componentwise, nonsingularity follows from $r < 1$, and $\det(-J) = \det D \cdot \det(I - D^{-1}K) > 0$. □

Proof of Proposition 2.4. Let M be an $(N-1)\times(N-1)$ matrix with $PMP' = M$ for

every permutation matrix P. Conjugating by the transposition of i and j gives $M_{ii} = M_{jj}$, and conjugating by a permutation that sends the ordered pair (i, j) to (k, l), $i \neq j$, $k \neq l$, gives $M_{ij} = M_{kl}$. Hence $M = aI + b\mathbf{1}\mathbf{1}'$. Since $\mathbf{1}'\mathbf{1} = N - 1$ and $\mathbf{1}'v = 0$ for zero-sum v, $(aI + b\mathbf{1}\mathbf{1}')\mathbf{1} = (a + (N-1)b)\mathbf{1}$ and $(aI + b\mathbf{1}\mathbf{1}')v = av$. For $-J = a_J I + b_J \mathbf{1}\mathbf{1}'$ and $G^{(A)} = a_G I + b_G \mathbf{1}\mathbf{1}'$ this gives $j_S = a_J + (N-1)b_J$, $j_D = a_J$, $g_S = a_G + (N-1)b_G$ and $g_D = a_G$. For $j_S, j_D \neq 0$,

$$(-J)^{-1} = \frac{1}{j_D} I + \frac{1}{N-1}\left(\frac{1}{j_S} - \frac{1}{j_D}\right)\mathbf{1}\mathbf{1}',$$

as direct multiplication verifies. Thus $(-J)^{-1}$ and $G^{(A)}$ share the one-dimensional common eigenspace span$\{\mathbf{1}\}$ and the $(N-2)$-dimensional zero-sum eigenspace, with response coefficients $\lambda_{\text{avg}} = g_S/j_S$ and $\lambda_{\text{rel}} = g_D/j_D$; applying them to $t = \bar{t}\mathbf{1} + \tilde{t}$ gives Eq. (2.6). Because $\tilde{t}$ sums to zero, it does not affect the equally weighted average of the responses, which under partner symmetry is $d\nu_A^E$ (Section 2.4); this gives the first equality in Eq. (2.7); the second is immediate, and for any two partners $d \log e_{jk} = d\nu_k - d\nu_j = \lambda_{\text{rel}}(\tilde{t}_k - \tilde{t}_j) = \lambda_{\text{rel}}(t_k - t_j)$.

For the MML characterization, which uses the permutation symmetry throughout, MML requires (a) the Z-matrix sign pattern, $J_{il} \geq 0$ for $l \neq i$, and (b) a nonsingular $-J$ with $(-J)^{-1} \geq 0$ componentwise. (a) The off-diagonal entry of $-J$ is $b_J = (j_S - j_D)/(N-1)$, so (a) holds if and only if $j_D \geq j_S$. (b) Given $j_D \geq j_S > 0$, $-J$ is nonsingular, the diagonal entries $1/j_D + (1/j_S - 1/j_D)/(N-1)$ and the off-diagonal entries $(1/j_S - 1/j_D)/(N-1)$ of $(-J)^{-1}$ above are nonnegative, so MML holds. Conversely, if MML holds, (a) gives $j_D \geq j_S$, and since $-J$ is nonsingular and $(-J)^{-1}\mathbf{1} = \mathbf{1}/j_S$ must be nonnegative, $j_S > 0$. □

Proof of Theorem 3.1. At the symmetric benchmark the primitives and the balanced baseline are invariant to every relabeling of A's partners, so $PJP' = J$ and $PG^{(A)}P' = G^{(A)}$ for every partner permutation P, and Proposition 2.4 applies. By Lemma A.1, $j_S = mM_N/(N-1)$ and $j_D = Nj_S$, so $j_S > 0$ if and only if $M_N > 0$, in which case $j_D > j_S$; by Proposition 2.4, MML is therefore equivalent to $M_N > 0$. If $\eta \geq 1$, every term in the bracket of Eq. (3.5) is nonnegative and the first is one, so $M_N > 0$. Given $M_N > 0$, dividing Eq. (A.4) by the eigenvalues in Eq. (A.2) gives $\lambda_{\text{avg}} = -\rho_D/M_N$ and $\lambda_{\text{rel}} = -\rho/(NM_N)$, and Eq. (3.7) is Eq. (2.6). □

Proof of Proposition 3.2. The three responses are derived in Section A. Under MML $M_N > 0$, and $\rho_D > 0$, so $d\nu_A^E < 0$ and $d\nu_B < 0$, and $d\nu_C > 0$ if and only if $\rho > N\rho_D$. Part (iv) is Eqs. (A.5) and (A.6). □

Proof of Corollary 3.3. See the single-elasticity paragraph of Section A. Since $N\rho_D \geq \eta$ when $\alpha_D \geq 1/N$, $\rho > N\rho_D$ implies $\rho > \eta$, and with $\rho = \eta$ the condition $\rho > N\rho_D$ cannot

hold. □

Proof of Proposition 3.4. Label the countries A, B and bystanders $c = 1, \ldots, N-2$. Consider any tariff change in the class described in the proposition, and write the composite economy's variables with a capital C.

Step 1: bystanders move together. The baseline and the shock are invariant to permutations of the bystanders, and under MML the linear system Eq. (2.2) has a unique solution. That solution is therefore invariant to the same permutations, so $d\nu_c = d\nu_C$ for every bystander. The equilibrium is then characterized by two conditions, $d\mathrm{TB}_B = 0$ and $\sum_c d\mathrm{TB}_c = 0$ (each $d\mathrm{TB}_c$ is equal across bystanders), in the two unknowns $(d\nu_B, d\nu_C)$.

Step 2: the baseline flows coincide. In the N-country economy $f_{Ac} = f_{cA} = m/(N-1)$ for each bystander, so $\sum_c f_{Ac} = \sum_c f_{cA} = m(N-2)/(N-1)$. In the composite, $f_{AC} = \alpha_T(1-\alpha_D)\frac{N-2}{N-1} = m\frac{N-2}{N-1}$, and, since $1-h_C = 2(1-\alpha_D)/(N-1)$, $f_{CA} = \alpha_T(1-h_C)\cdot\frac{1}{2}\cdot(N-2) = m\frac{N-2}{N-1}$. The same holds for B, and $f_{AB} = f_{BA} = m/(N-1)$ in both economies. In particular the composite is balanced, and $s_{CA} = \alpha_T(1-h_C)/2 = m/(N-1) = s_{cA}$.

Step 3: A's and B's demand aggregate exactly. All bystander goods face the same price change in A, $dp_{Ac} = d\nu_C + d\tau_{Ac}$ with $d\tau_{Ac}$ common across c. Hence $d\log P_{MA} = \frac{1}{N-1}dp_{AB} + \frac{N-2}{N-1}dp_{Ac}$, which is the composite's index with $b_{AC} = \frac{N-2}{N-1}$, and $d\log s_{Ac} = (1-\rho)(dp_{Ac} - d\log P_{MA}) + (1-\eta)\alpha_D\, d\log P_{MA}$ is common across c and equal to the composite's $d\log s_{AC}$. A's income response, $d\log \tilde{I}_A = s_{AB}d\tau_{AB} + \sum_c s_{Ac}d\tau_{Ac}$, equals the composite's because $\sum_c s_{Ac} = s_{AC}$. Therefore $\sum_c df_{Ac} = df_{AC}$, and likewise df_{AB} is the same in both economies; the same argument applies to B.

Step 4: intra-bloc trade cancels. Summing Eq. (3.3) over bystanders,

$$\sum_c \mathrm{TB}_c = \sum_c (f_{Ac} + f_{Bc}) - \sum_c (f_{cA} + f_{cB}) + \Big[\sum_c \sum_{c' \neq c} f_{c'c} - \sum_c \sum_{c' \neq c} f_{cc'}\Big],$$

and the bracket is identically zero. So $\sum_c \mathrm{TB}_c$ has the form of the composite's $\mathrm{TB}_C = f_{AC} + f_{BC} - f_{CA} - f_{CB}$, and $\mathrm{TB}_B = f_{AB} + \sum_c f_{cB} - f_{BA} - \sum_c f_{Bc}$ has the form of the composite's TB_B. Given Step 3, it remains to show $\sum_c df_{cA} = df_{CA}$ and $\sum_c df_{cB} = df_{CB}$.

Step 5: the bloc's demand for A's and B's goods. Since $d\log f_{cA} = d\log s_{cA} + d\log \tilde{I}_c - d\tau_{cA}$ and all three terms are common across bystanders, $\sum_c df_{cA} = (N-2) f_{cA}\, d\log f_{cA} = f_{CA}\, d\log f_{cA}$; we need $d\log f_{cA} = d\log f_{CA}$. Incomes: $d\log \tilde{I}_c = d\nu_C + s_{cA}d\tau_{cA} + s_{cB}d\tau_{cB}$, which equals $d\log \tilde{I}_C$ because $s_{CA} = s_{cA}$ and $s_{CB} = s_{cB}$ (Step 2). Tariff wedges: $d\tau_{cA} = d\tau_{CA}$ by construction. Shares: measure prices in bystander currency, so that other bystanders' goods have $dp = 0$, and write $dp_{cA} = \frac{S+D}{2}$ and $dp_{cB} = \frac{S-D}{2}$, where $S \equiv dp_{cA} + dp_{cB}$ and $D \equiv dp_{cA} - dp_{cB}$. A bystander's import price index moves by $S/(N-1)$, since A and B are

two of its $N-1$ equally weighted origins. Hence

$$d\log s_{cA} = (1-\rho)\Big(\frac{S+D}{2} - \frac{S}{N-1}\Big) + (1-\eta)\alpha_D \frac{S}{N-1}$$
$$= (1-\rho)\frac{D}{2} + \Big[(1-\rho)\frac{N-3}{2(N-1)} + (1-\eta)\frac{\alpha_D}{N-1}\Big]S.$$

In the composite the import index moves by $S/2$, so $d\log s_{CA} = (1-\rho)\frac{D}{2} + (1-\eta_C)h_C\frac{S}{2}$. The D terms coincide for any (S,D), and the S terms coincide if and only if $(1-\eta_C)(N-1)h_C = (1-\rho)(N-3) + 2\alpha_D(1-\eta)$. Using $(N-1)h_C = N-3+2\alpha_D$, this is Eq. (3.11). The argument for B's good is identical with D replaced by $-D$. The residual share on bloc goods matches as well, because shares sum to one in both economies.

Step 6: equilibrium and NEER. By Steps 2–5, the two equations $(d\mathrm{TB}_B, \sum_c d\mathrm{TB}_c) = 0$ of the N-country economy, evaluated at $d\nu_c = d\nu_C$, are identical to the composite's equations $(d\mathrm{TB}_B, d\mathrm{TB}_C) = 0$, including the tariff terms. The composite system is nonsingular (its determinant is computed below), so the two economies have the same $(d\nu_B, d\nu_C)$. The composite's trade weights are $w_{AB} = 1/(N-1)$ and $w_{AC} = (N-2)/(N-1)$, so its NEER response $\frac{1}{N-1}d\nu_B + \frac{N-2}{N-1}d\nu_C$ equals the N-country NEER at symmetric weights.

Step 7: the reduced system. By Lemma A.1, row B of $-J$ in the N-country economy is $c(N-1)$ on ν_B and $-c$ on each bystander's rate; imposing $d\nu_c = d\nu_C$ gives $(c(N-1), -c(N-2))$. Each bystander row has $-c$ on ν_B, $c(N-1)$ on its own rate and $-c$ on each of the other $N-3$ bystanders' rates; summing the $N-2$ bystander rows and imposing $d\nu_c = d\nu_C$ gives $(-c(N-2),\ (N-2)[c(N-1)-c(N-3)]) = (-c(N-2), 2c(N-2))$. This is Eq. (3.12), with determinant $c^2[2(N-1)(N-2)-(N-2)^2] = c^2N(N-2) > 0$. Inverting and applying it to $(F_B, (N-2)F_c)$ gives Eq. (3.13), and the unilateral disturbances follow from Eq. (A.3). □

The replication code verifies the reduction numerically: for $(\alpha_D, \alpha_T, \eta)$ equal to $(0.8, 0.4, 1.5)$, $(0.6, 0.7, 1.2)$, $(0.9, 0.3, 3.0)$ and $(0.5, 0.5, 2.0)$, $N \in \{4, \dots, 10\}$ and $\rho \in \{1.1, 4, 9\}$, under the four shocks (A on B; an A–B war; A on all bystanders; all bystanders on B), the composite's $(d\nu_B, d\nu_C)$ match the N-country responses to within 10^{-12}.

Proof of Proposition 3.5. Equations Eqs. (A.7) and (A.8) are derived in Section A. For (i), setting $d\log q_{AC} = 0$ and substituting $d\nu_C$ from Eq. (3.8) gives

$$\Big[(N-1) - mN\Big]\frac{\rho - N\rho_D}{N} = m(N-1)M_N(\rho).$$

Since M_N is affine in ρ, this is linear in ρ; for $m < 1/N$, solving gives $\rho_q^*(N)$. The coefficient $(N-1)-mN$ is then positive, and MML at ρ_q^* gives $M_N > 0$ on the right, so $\rho_q^*(N) > N\rho_D$.

For (ii), under MML $M_N > 0$, and for $m < (N-1)/N$ both terms in Eq. (A.8) are negative. □

Proof of Proposition 4.1. (i) Let primes denote responses to the mirror shock $t_{BA} = d\tau$. Relabeling $A \leftrightarrow B$ in Eq. (3.8) gives

$$d\log e'_{BA} = -\frac{N\rho_D + (N-2)\rho}{N(N-1)M_N}\,d\tau, \qquad d\log e'_{BC} = \frac{\rho - N\rho_D}{N(N-1)M_N}\,d\tau.$$

Since $e_{AB} = 1/e_{BA}$ and $e_{AC} = e_{AB}e_{BC}$, $d\log e'_{AB} = \frac{N\rho_D+(N-2)\rho}{N(N-1)M_N}d\tau$ and $d\log e'_{AC} = \frac{\rho}{NM_N}d\tau$. By linearity the combined response is $d\log e_{AB} = 0$ and

$$d\log e_{AC} = \frac{\rho - N\rho_D}{N(N-1)M_N}\,d\tau + \frac{\rho}{NM_N}\,d\tau = \frac{\rho - \rho_D}{(N-1)M_N}\,d\tau.$$

The three components are A's average protection, $-\rho_D/[(N-1)M_N]$, A's relative treatment, $\rho/[N(N-1)M_N]$, and B's relative treatment, $\rho/(NM_N)$. By symmetry between A and B the same expression applies to $d\log e_{BC}$, every bystander moves identically, so cross rates among bystanders are unchanged, and averaging over A's $N-1$ partners with the equal weights of the symmetric benchmark gives $d\nu_A^E$ in Eq. (4.1).

(ii) Superpose the N tariff vectors. A's tariff vector is uniform, $\bar{t}^{(A)} = d\tau$ and $\widetilde{t}^{(A)} = 0$, and contributes $\lambda_{\text{avg}}d\tau$ to every $d\log e_{Aj}$. Partner j taxes only A; its contribution to $d\log e_{Aj}$ is $-[\lambda_{\text{avg}} + (N-2)\lambda_{\text{rel}}]\frac{d\tau}{N-1}$, while each of the $N-2$ other partners k contributes $-\lambda_{\text{rel}}d\tau = \frac{\rho}{NM_N}d\tau$, computed as in part (i) from $e_{Aj} = e_{Ak}e_{kj}$. Summing,

$$d\log e_{Aj} = \lambda_{\text{avg}}d\tau - \Big[\lambda_{\text{avg}} + (N-2)\lambda_{\text{rel}}\Big]\frac{d\tau}{N-1} - (N-2)\lambda_{\text{rel}}d\tau = \frac{(N-2)(\rho-\rho_D)}{(N-1)M_N}\,d\tau.$$

The expression is the same for every j, so it equals the effective response, and all cross rates among A's partners are unchanged. Under MML the signs are those of $\rho - \rho_D$. □

Proof of Lemma 5.1. Utility is Cobb–Douglas over the tradable aggregate and the non-tradable, so indirect utility is $V_A = \kappa\, I_A/(P_{TA}^{\alpha_T}P_{NA}^{1-\alpha_T})$ for a constant κ, with I_A, P_{TA} and P_{NA} in A's currency. The marginal utility of income is V_A/I_A, so the change in welfare in units of income is

$$\frac{dV_A}{(\partial V_A/\partial I_A)\,I_A} = d\log I_A - \alpha_T\, d\log P_{TA} - (1-\alpha_T)\, d\log P_{NA}.$$

This is the envelope theorem: by Shephard's lemma, $\alpha_T\, d\log P_{TA} = \sum_j s_{Aj}\, d\log p_{Aj}$, the expenditure-share-weighted change in consumer prices. Under the producer-price normal-

ization $w_A = A_{TA}$ and $P_{NA} = A_{TA}/A_{NA}$ are fixed in A's currency, so $d\log P_{NA} = 0$ and the domestic tradable's price does not move. Imported goods' consumer prices move by $d\log p_{Aj} = d\nu_j + d\log(1+\tau_{Aj}) = d\nu_j + d\tau_{Aj}$ at free trade. Income is labor income plus rebated revenue, $I_A = w_A L_A/(1-\sum_j \theta_{Aj} s_{Aj})$ with $\theta_{Aj} = \tau_{Aj}/(1+\tau_{Aj})$. At free trade $\theta_{Aj} = 0$ and $d\theta_{Aj} = d\tau_{Aj}$, so changes in realized shares drop out and $d\log I_A = \sum_j s_{Aj}\, d\tau_{Aj}$: the revenue gain equals the tariff change times the border value of imports. Combining,

$$\frac{dV_A}{(\partial V_A/\partial I_A)\, I_A} = \sum_j s_{Aj}\, d\tau_{Aj} - \sum_j s_{Aj}(d\nu_j + d\tau_{Aj}) = -\sum_j s_{Aj}\, d\nu_j = -m_A \sum_{j\neq A} b_{Aj}\, d\nu_j,$$

with $m_A = \sum_j s_{Aj} = \alpha_T(1-h_A)$ and $b_{Aj} = s_{Aj}/m_A$. The tariff terms cancel: at free trade the revenue raised exactly offsets the direct price increase to first order. Tariffs imposed by other countries enter A's prices and income only through $d\nu$, so the formula holds for any tariff vector. □

The replication code checks Lemma 5.1 against central finite differences of A's log indirect utility in the nonlinear model, at symmetric and asymmetric free-trade baselines ($N = 3, 4, 5$) and under unilateral, retaliatory, multilateral-war, foreign-only and random tariff shocks; the two agree to within 10^{-6}.

Proof of Proposition 5.2. Work with the linearized system Eq. (A.1) at a balanced free-trade baseline, with country-specific η_i, ρ_i and α_T^i, so that $s_{Aj} = \alpha_T^A(1-h_A)b_{Aj}$ and $m_A = \sum_{j\neq A} s_{Aj} = \alpha_T^A(1-h_A)$.

Step 1: only A's import flows are disturbed. Set $d\nu = 0$ and $d\tau_{Aj} = dt$ for all $j \neq A$, with all other tariff changes zero. For $i \neq A$, $d\tau_{ij} = 0$, so $dp_{ij} = 0$ for every j, $d\log P_{Mi} = 0$, $d\log s_{ij} = 0$ and $d\log \tilde{I}_i = 0$. Every flow f_{ij} with $i \neq A$ is therefore unchanged. In the trade balance of partner j, the only term that moves is its exports to A:

$$F_j = d\mathrm{TB}_j\Big|_{d\nu=0} = f_{Aj}\Big(d\log s_{Aj} + d\log \tilde{I}_A - dt\Big).$$

Step 2: the cross-origin margin drops out. In A, $dp_{Aj} = dt$ for every j, so $d\log P_{MA} = \sum_j b_{Aj} dt = dt$ and $dp_{Aj} - d\log P_{MA} = 0$ for every j. The term multiplying $(1-\rho_A)$ vanishes, and

$$d\log s_{Aj} = (1-\eta_A)h_A\, dt \quad \text{for every } j, \qquad d\log \tilde{I}_A = \sum_j s_{Aj}\, dt = m_A\, dt.$$

Step 3: the disturbance. Substituting,

$$F_j = f_{Aj}\Big[(1-\eta_A)h_A + \alpha_T^A(1-h_A) - 1\Big]dt = -f_{Aj}\Big[\eta_A h_A + (1-h_A)(1-\alpha_T^A)\Big]dt = -f_{Aj}\,\rho_D^A\, dt,$$

which is Eq. (5.4). Since $\eta_A > 0$, $0 < h_A \leq 1$ and $\alpha_T^A \leq 1$, $\rho_D^A > 0$, so $F_j \leq 0$ for every j, with $F_j < 0$ whenever $f_{Aj} > 0$.

Step 4: exchange rates. Under MML, $(-J)^{-1} \geq 0$, so by Eq. (2.4) $d\nu_i = \sum_j \vartheta_{ij} F_j \leq 0$ for every i: A appreciates weakly against every partner. If A imports from every partner, then $F_j < 0$ for all j; since $(-J)^{-1}$ is nonsingular and nonnegative, each of its rows has a strictly positive entry, so $d\nu_i < 0$ for every i. If instead J is irreducible, $-J$ is an irreducible nonsingular M-matrix and $(-J)^{-1} > 0$ entrywise, so $d\nu_i < 0$ for every i as long as $F \neq 0$, that is, as long as A imports at all.

Step 5: welfare. By Lemma 5.1, $dU_A/(U_A' I_A) = -m_A \sum_j b_{Aj} d\nu_j \geq 0$, and it is strictly positive whenever some $d\nu_j < 0$ with $b_{Aj} > 0$, which holds in either case of Step 4 because the b_{Aj} sum to one. Since A's aggregate terms of trade improve if and only if $\sum_j b_{Aj} d\nu_j < 0$, they improve. Finally, the response is linear in the tariff vector, so the welfare effect of the uniform tariff is $\sum_j g_j \, dt$ with g_j as in Eq. (5.3), and $\sum_j g_j > 0$. □

The replication code checks Eq. (5.4) against the linear system to 10^{-12} and against complex-step derivatives of the exact model's trade balances, and verifies the signs of F, $d\nu$ and the welfare change on 60 random asymmetric baselines with country-specific parameters ($N = 3, 4, 5$).

Proof of Proposition 5.4. Under MML $\det A(\rho) > 0$, so $R_{A|B}$ has the sign of $Q_{A|B}(\rho)$. (a) At the symmetric benchmark, Eq. (A.9) gives $\det A = 3(mM_3/2)^2$ and $R_{A|B} = d\nu_A^E/d\tau = -\rho_D/(2M_3)$, so $Q = -\frac{3}{8} m^2 \rho_D M_3$, which is affine in ρ ($q_2 = 0$) and negative for all ρ under MML. (b) If $q_2 > 0$ and $q_0 < 0$, the product of the roots is $q_0/q_2 < 0$, so there is exactly one positive root ρ^*, with $Q < 0$ on $(0, \rho^*)$ and $Q > 0$ beyond. (c) If $q_2 < 0$, $q_1 > 0$, $q_0 < 0$ and the discriminant is positive, both roots are real with positive sum $-q_1/q_2$ and positive product q_0/q_2, so both are positive, and the downward parabola is positive only between them. □

C Away from the Symmetric Free-Trade Benchmark

The results of Sections 2.4, 3 and 4 are local to the symmetric free-trade benchmark. This appendix examines four departures from it: a positive common external tariff, finite tariff changes, asymmetric primitives, and the trade-weighted effective rate. Equation (2.3) and the MML condition apply at any balanced baseline. What changes is the mapping from primitives to the eigenvalues of Proposition 2.4 and, once partner symmetry fails, whether the common and zero-sum subspaces remain eigenspaces at all. In every case the baseline equilibrium is recomputed from primitives rather than by perturbing shares, and MML

holds at every point reported. Unless stated otherwise, numerical values use the calibration of Fig. 2, $\alpha_D = 0.7$, $\alpha_T = 0.6$ and $\eta = 1.5$ ($\rho_D = 1.17$); US-like values are reported where they are discussed in the main text.

C.1 A positive common external tariff

Suppose A levies a common tariff τ_0 on all $N-1$ partners, which impose no tariffs of their own. Because the partner primitives are also symmetric here, this baseline is invariant to every relabeling of A's partners, so partner symmetry holds and Proposition 2.4 applies; with heterogeneous partners a common tariff alone would not deliver it. Relative to free trade, A's currency appreciates by the same amount against every partner, so A's goods are more expensive abroad and baseline shares differ from their free-trade values. We measure tariff changes as $t_j = d\log(1+\tau_{Aj})$, which coincides with $t_j = d\tau_{Aj}$ at free trade. Let $\theta \equiv \tau_0/(1+\tau_0)$ denote the tariff wedge, μ_A the import share of A's tradable expenditure, μ_P the import share of a partner's tradable expenditure, and ω the share of A's good in a partner's import bundle. The rebate channel enters through $\phi \equiv \alpha_T\mu_A/(1-\theta\alpha_T\mu_A)$, the response of A's income to its import expenditure. Trade between A and each partner is balanced at the baseline, so $X \equiv f_{Aj} = f_{jA}$ denotes this bilateral flow, and $Y \equiv f_{jk}$ the flow between any two partners. Linearizing at this baseline gives

$$g_S = -X\rho_D(\tau_0), \qquad g_D = -X\rho, \qquad j_S = XM_S, \qquad j_D = \Big(X + (N-1)Y\Big)M_D, \quad \text{(C.1)}$$

where

$$\begin{aligned}
\rho_D(\tau_0) &= 1 - \phi(1-\theta) + (\eta-1)(1-\mu_A)(1+\phi\theta),\\
M_S &= 1 + (\eta-1)(1-\mu_A)(1+\phi\theta) + (\rho-1)(1-\omega) + (\eta-1)(1-\mu_P)\,\omega,\\
M_D &= 1 + (\rho-1)\frac{N-3+\omega}{N-2} + (\eta-1)(1-\mu_P)\frac{N-1-\omega}{N-2}.
\end{aligned}$$

At free trade $\theta = 0$, $\phi = m$, $\mu_A = \mu_P = 1-\alpha_D$ and $\omega = 1/(N-1)$, so $\rho_D(0) = \rho_D$ and $M_S = M_D = M_N$.

The eigenvalues in Eq. (C.1) differ in the trade flows on which they act. Tariff disturbances along both components fall only on partners' trade with A, so g_S and g_D are proportional to X. A common exchange-rate movement leaves cross rates among partners unchanged and also shifts only partners' trade with A, so j_S is proportional to X, and X cancels from $\lambda_{\text{avg}} = -\rho_D(\tau_0)/M_S$. A relative movement also shifts trade among partners. Under a zero-sum movement v, partner j's rate moves by v_j against A and by $v_j - v_k$ against partner

k; since $\sum_{k\neq j} v_k = -v_j$, its average movement against the other partners is $(N-1)/(N-2)$ times v_j. The base $X + (N-1)Y$ is therefore partner j's trade with A plus its trade with the other partners, the latter weighted by this factor. Define $x \equiv X/(X + (N-1)Y)$, A's share of the trade on which relative exchange-rate movements act. Then $\lambda_{\text{rel}} = -x\rho/M_D$ and $j_D/j_S = (1/x)(M_D/M_S)$. At free trade $X = Y$, so $x = 1/N$ and $j_D = Nj_S$: the factor N in the bystander threshold is $1/x$ evaluated at the free-trade baseline.

For a further tariff on B, $t = dt\, e_B$, the bystander response is $d\nu_C = (\lambda_{\text{avg}} - \lambda_{\text{rel}})\, dt/(N-1)$, so A depreciates against C if and only if

$$\rho > \rho^*(\tau_0) \equiv \frac{\rho_D(\tau_0)}{x}\,\frac{M_D}{M_S}. \tag{C.2}$$

The condition is implicit in ρ, because ω, μ_P, x and M_S depend on baseline shares that themselves depend on ρ; we compute it by root-finding with the baseline re-solved at each ρ. Since the response is linear in t, a marginal preferential cut for B, $t = -dt\, e_B$, worsens C's terms of trade under the same condition. Table 5 reports the threshold relative to its free-trade value.

Table 5: Bystander threshold at a common external tariff, $\rho^*(\tau_0)/N\rho_D$

	$\tau_0 = 0.25$	$\tau_0 = 0.5$	$\tau_0 = 1$
$N = 3$	1.12	1.22	1.41
$N = 5$	1.23	1.49	2.07

Notes: $\alpha_D = 0.7$, $\alpha_T = 0.6$, $\eta = 1.5$. Computed from Eq. (C.2) with the baseline re-solved at each ρ. At US-like parameters the ratios are 1.10, 1.19, 1.36 ($N = 3$) and 1.23, 1.48, 2.07 ($N = 5$).

The threshold rises with τ_0, mainly because x falls. The common appreciation makes A's goods more expensive, so A's share of each partner's imports falls. At $N = 3$ and $\tau_0 = 1$, ω falls from 1/2 to 0.29 and x from 1/3 to 0.17. Relative treatment then disturbs a smaller part of the trade on which relative exchange-rate movements act. A rise in M_S relative to M_D offsets part of this effect. The local threshold also understates what a discrete preferential cut requires. In the exact model at $N = 3$, removing the tariff on B from $\tau_0 = 0.5$ worsens C's terms of trade only if $\rho > 6.23$, compared with 4.28 for a marginal cut at the same baseline and $3\rho_D = 3.51$ at free trade.

C.2 Finite tariffs

The thresholds of Propositions 4.1 and 3.2 concern marginal tariffs at free trade. In one case the finite-tariff sign is exact. At $N = 2$ and $\eta = 1$, expenditure shares are fixed at their

weights, and $I_A = w_A L_A/[1 - \frac{\tau}{1+\tau} m]$, so $\mathrm{TB}_A = 0$ becomes $e\, m\, w_B L_B = m I_A/(1+\tau)$:

$$e(\tau) = \frac{w_A L_A}{w_B L_B} \cdot \frac{1}{1 + (1-m)\tau}, \qquad \left.\frac{d \log e}{d\tau}\right|_{\tau=0} = -(1-m) = -\left.\frac{\rho_D}{M_2}\right|_{\eta=1}.$$

Thus $e(\tau)$ is decreasing in τ, and the sign of the linearized response is exact for all tariff levels in this case.

For finite tariffs at $N = 3$, starting from the symmetric free-trade benchmark, let $\rho^*(\tau)$ denote the value of ρ at which $\log e_{AC}(\tau) = 0$ in the exact model. Writing $\log e_{AC}(\tau) = a(\rho)\tau + \frac{1}{2} b_C \tau^2 + O(\tau^3)$, where a is the first-order slope and b_C the second derivative along the tariff path,

$$\rho^*(\tau) = \rho_0^* + \kappa\, \tau + O(\tau^2), \qquad \kappa = -\frac{b_C}{2a'(\rho_0^*)}.$$

For a unilateral tariff, $a = (\rho - 3\rho_D)/(6M_3)$ by Eq. (A.10), so $\kappa_{\mathrm{uni}} = -3M_3 b_C$. For bilateral retaliation, $\tau_{AB} = \tau_{BA} = \tau$ and $a = (\rho - \rho_D)/(2M_3)$ by Eq. (4.1), so $\kappa_{\mathrm{war}} = -M_3 b_C$. Both are evaluated at the symmetric benchmark, where b_C follows from a second-order expansion of the equilibrium conditions.

The unilateral threshold falls with the size of the tariff. On a grid over $\alpha_D \in [1/3, 1)$, $\alpha_T \in (0, 1]$ and $\eta \in [1, 10]$, the exact finite-difference slope $(\rho^*(0.01) - 3\rho_D)/0.01$ is negative at every point. At $\tau = 1$ the exact threshold is 0.76 times $3\rho_D$ at the calibration of this appendix and 0.72 times $3\rho_D$ at US-like parameters; at the 2025 peak rate $\tau = 1.45$ it is 2.70 at US-like parameters, against $3\rho_D = 3.96$. A larger tariff shrinks B's share of A's imports, so a further increase adds less average protection while continuing to divert expenditure toward C. The retaliation threshold instead rises slightly, with

$$\kappa_{\mathrm{war}} = \frac{1-\alpha_D}{4}\Big[\alpha_D(\eta-1)^2 + 3\alpha_D\alpha_T(\eta-1) + 2\alpha_T(1-m)\Big] > 0 \qquad (\eta \geq 1),$$

and at $\tau = 1$ the exact threshold is 1.07 times ρ_D (1.03 at US-like parameters).

These two subsections illustrate a common principle. The threshold depends on the share structure on which the tariff acts. A common tariff shrinks A's footprint in its partners' trade and raises the threshold, while a concentrated tariff shrinks the target's share of A's imports and lowers it.

C.3 Asymmetric primitives

At a general balanced baseline the coefficients of Eq. (A.1) are the baseline shares b_{ij}, the home shares h_i and the incomes y_i. The elasticity ρ enters the share responses only through $(1 - \rho)$, so every entry of J and F is affine in ρ. Each entry of $\mathrm{adj}(-J)$ is therefore a

polynomial of degree at most $N-2$ in ρ, and each numerator $[\mathrm{adj}(-J)F]_i$ a polynomial of degree at most $N-1$. Since $\det(-J) > 0$ under MML, a bilateral response can change sign only at a root of this numerator. Symmetry reduces the problem to the two coefficients of Proposition 2.4, yielding linear thresholds. At a general asymmetric baseline the $N = 3$ numerator is already quadratic in ρ:

$$\operatorname{sign} \frac{d \log e_{AC}}{d\tau} = \operatorname{sign}\left(c_2\rho^2 + c_1\rho + c_0\right), \qquad c_2 = \alpha_T^2\, b_{AB} b_{AC} b_{CA} b_{CB} (1-h_A)(1-h_C) y_A y_C. \tag{C.3}$$

The coefficients c_1 and c_0 depend on the full pattern of trade shares and country sizes. Provided MML holds, $c_2 > 0$ whenever A and C each import from both foreign origins, so at given shares the response is positive beyond the largest positive root, which equals $3\rho_D$ at the symmetric point.

The quadratic holds at given shares, however, and the shares themselves depend on ρ once primitives are held fixed. At an asymmetric baseline relative prices differ across origins, and a higher ρ also reallocates expenditure toward the cheapest origin. A large target, whose currency must depreciate to balance its trade, can then crowd C out of A's imports and prevent the reversal. With $L_B = 2.2$ and all other primitives symmetric, e_{AC} reverses only for $5.99 < \rho < 53.8$, as A's import share from B rises from 0.74 at $\rho = 5$ to 0.997 at $\rho = 100$; with $L_B \geq 2.6$ it does not reverse for any $\rho \leq 1000$. Away from symmetry there may therefore be no bilateral threshold, one, or several, and for $N \geq 4$ the numerator is of higher degree in ρ.

The threshold also moves with asymmetric primitives near the symmetric benchmark. Table 6 reports $d\rho^*/dx$ at $\rho = 3\rho_D$, where ρ^* solves $d \log e_{AC}/d\tau = 0$ after perturbing a single primitive x and recomputing the free-trade baseline. Derivatives are evaluated at $L_i = 1$ and $\beta_{AB} = 1/2$. Here β_{AB} is A's weight on B, with $\beta_{AC} = 1 - \beta_{AB}$, and α_D^A is the home weight in A alone.

Table 6: Sensitivity of the bystander threshold to asymmetric primitives, $N = 3$

	$d\rho^*/dx$	
x	$(\alpha_D, \alpha_T, \eta) = (0.7, 0.6, 1.5)$	US-like $(0.8, 0.4, 1.5)$
β_{AB}	+3.70	+4.06
L_B	+0.99	+1.23
L_C	−0.20	−0.32
α_D^A	+5.31	+6.61

The interpretations are as follows. β_{AB}*:* a tariff on a larger supplier is a larger average-protection shock, so B's loss rises relative to C's gain. L_B*:* a larger target depreciates to

balance its trade, which raises A's import share from B. L_C*:* a larger bystander depreciates and gains import share in A, but also absorbs its own disturbance more easily; the two effects nearly offset. α_D^A*:* stronger home bias in A raises domestic diversion and makes C's rate respond more to B's loss.

C.4 The effective rate and the ordering of bilateral responses

At the symmetric benchmark the trade weights of Section 2.4 are equal, $w_{Aj} = 1/(N-1)$, so the trade-weighted NEER is the equally weighted average of A's bilateral responses, on which relative treatment has no effect. A unilateral tariff therefore always appreciates A's effective exchange rate. Relative treatment drops out of the effective rate only when the trade weights and the adjustment structure are symmetric. With asymmetric trade weights the same definition gives, for $N = 3$, $d\nu_A^E = w_{AB}\, d\nu_B + w_{AC}\, d\nu_C$, and a bystander depreciation $d\nu_C > 0$ enters with weight w_{AC}. The trade-weighted NEER can then depreciate when the bystander reversal occurs and the bystander carries most of A's trade weight. Table 3 illustrates this at US-like parameters. The reversal starts below $3\rho_D$ because a small target with a small import weight lowers the threshold, as in Table 6. The exact model at $\tau = 0.01$ confirms the signs.

The ordering $d\nu_B < d\nu_C$, which holds at the symmetric benchmark because $\lambda_{\text{rel}} < 0$, can also fail. This requires ρ near one and a high η, and $\rho < \eta$ in every case we examined. For example, with $L = (5.12, 4.26, 2.28)$ for (A, B, C), $\beta_{AB} = 0.86$, $\beta_{BA} = 0.65$, $\beta_{CA} = 0.19$, $\alpha_D = 0.89$, $\alpha_T = 0.6$, $\eta = 3.74$ and $\rho = 1.20$, $d\nu_B - d\nu_C = 0.08\, d\tau$ (MML holds; the exact model at $\tau = 0.01$ gives 0.079).

Online Appendix

D Further Robustness

D.1 Robustness of the two-country result

This subsection collects the monotonicity results behind Remark 2.1. Equilibrium is balanced trade for A, $\mathrm{TB}_A(e,\tau) \equiv X_A(e,\tau) - M_A(e,\tau) = 0$, where e is units of A's currency per unit of B's, τ is A's ad valorem tariff on imports from B, and X_A and M_A are the values of exports and imports in A's currency. Assume TB_A is continuously differentiable with $\mathrm{TB}_{A,e} \neq 0$ locally. By the implicit function theorem there is a locally unique mapping $e(\tau)$ with

$$\frac{de}{d\tau} = -\frac{\mathrm{TB}_{A,\tau}(e(\tau),\tau)}{\mathrm{TB}_{A,e}(e(\tau),\tau)}.$$

Under the producer-price normalization the consumer price of imports in A is $p_M(e,\tau) = (1+\tau)e$ and the price of A's exports in B is $p_X(e) = 1/e$.

Lemma D.1 (Tariff monotonicity)**.** *Fix e. Suppose (i) $p_M(e,\tau)$ is increasing in τ, and (ii) import expenditure $M_A(e,\tau)$ is decreasing in the consumer import price. Suppose in addition that any induced effect of τ on export revenue satisfies $X_{A,\tau} \geq 0$, or the weaker condition $X_{A,\tau} > M_{A,\tau}$. Then $\mathrm{TB}_{A,\tau} > 0$.*

Proof. $\mathrm{TB}_{A,\tau} = X_{A,\tau} - M_{A,\tau}$, and by (i)–(ii) $M_{A,\tau} = (\partial M_A/\partial p_M)(\partial p_M/\partial \tau) < 0$. Either condition on $X_{A,\tau}$ then gives $\mathrm{TB}_{A,\tau} > 0$. □

In the baseline model the tariff applies only to imports and there is no policy response abroad, so $X_{A,\tau} = 0$ at fixed e and the condition holds trivially.

Lemma D.2 (Exchange-rate monotonicity)**.** *Fix τ. If $M_{A,e} < 0$ and $X_{A,e} \geq 0$, with at least one inequality strict, then $\mathrm{TB}_{A,e} > 0$.*

Proof. $\mathrm{TB}_{A,e} = X_{A,e} - M_{A,e} > 0$ under the stated conditions. □

Proposition D.3 (Sign of the two-country response)**.** *If the conditions of Lemmas D.1 and D.2 hold in a neighborhood of an equilibrium (e^*,τ), then $e(\tau)$ exists locally and $de/d\tau < 0$.*

Proof. By the implicit function theorem and Lemmas D.1 and D.2, $de/d\tau = -\mathrm{TB}_{A,\tau}/\mathrm{TB}_{A,e} < 0$. □

The condition of Lemma D.2 is the Marshall–Lerner condition, and that of Lemma D.1 is its tariff analogue: import expenditure falls as the consumer import price rises. The paragraphs below explain why both typically hold in standard specifications. They are arguments rather than proofs, and neither condition holds in every model.

Demand. Tariffs and exchange rates affect demand only through relative prices. Under CES (Armington) preferences over tradables with any elasticity $\sigma > 0$, separable from non-tradables, Marshallian import demand is strictly decreasing in p_M, so at fixed e a higher tariff lowers import expenditure while export revenue is locally unaffected; holding τ fixed, a depreciation raises the domestic-currency price of imports and lowers the foreign-currency price of exports. The same holds under nested CES with separate elasticities between tradables and non-tradables and across tradable varieties: tariff-induced income effects may reallocate expenditure between tradables and non-tradables, but the monotone relation between import demand and its consumer price is preserved. Under quasi-linear preferences income effects from tariff revenue vanish and the conditions hold by construction.

Production. With diminishing returns or sector-specific factors, wages and output adjust to demand. At fixed e a higher tariff still raises the consumer price of imports and reduces import expenditure, and since the tariff introduces no export-side wedge, export revenue is not adversely affected. Holding the tariff fixed, a depreciation raises import prices and lowers export prices; provided export supply is weakly increasing in the export price, import expenditure falls and export revenue weakly rises, so $\mathrm{TB}_{A,e} > 0$ continues to hold locally.

Fiscal closure and pricing. Whether tariff revenue is rebated lump-sum, wasted, transferred abroad or used to finance government spending, a tariff raises the consumer price of imports at a fixed exchange rate, so the conditions of Lemmas D.1 and D.2 hold under standard fiscal closures. Local- or dominant-currency pricing and monopolistic competition mainly affect the degree and timing of pass-through; in the flexible-price equilibrium that our analysis describes, consumer prices reflect both the tariff wedge and the exchange rate, and the monotonicity conditions remain valid. While the magnitude of the response varies across specifications, its sign does not, wherever both conditions hold.

D.2 Sector-specific factors

The linear technology makes the supply of tradables infinitely elastic at the going wage. To give the supply side curvature, replace $Y_{Ti} = A_{Ti}L_{Ti}$ with $Y_{Ti} = A_{Ti}L_{Ti}^{\gamma}$, $\gamma \leq 1$, as in the Ricardo–Viner model, with non-tradables linear as before and labor mobile across sectors

within each country, $L_{Ti} + L_{Ni} = L_i$. Under the producer-price normalization the tradable's price is still one in its own currency, so the exchange rate is still the relative price of tradables. Competitive pricing gives $w_i = \gamma A_{Ti} L_{Ti}^{\gamma-1}$ and $P_{Ni} = w_i / A_{Ni}$, and the fixed factor earns rents $(1-\gamma)Y_{Ti}$ that are rebated lump-sum, so income is $Y_{Ti} + P_{Ni} Y_{Ni}$ plus rebated tariff revenue. Equilibrium adds non-tradable market clearing, $w_i L_{Ni} = (1-\alpha_T) I_i$, in every country to the trade-balance conditions. With $\gamma = 1$ the model is the baseline, and the replication code confirms that it reproduces the baseline allocations and responses to 10^{-12}; its linearization matches finite differences of the exact model for $\gamma < 1$.

With Cobb–Douglas preferences, tradable employment at a balanced free-trade baseline is $L_{Ti} = \gamma\alpha_T L_i / (\gamma\alpha_T + 1 - \alpha_T)$, whatever the exchange rates. At the margin, therefore, neither the bystander's nor anyone else's supply of tradables responds to exchange rates, and the adjustment matrix J is only rescaled by nominal income. What changes is the tariff-setter's own income response. Rebated revenue raises A's demand for non-tradables and draws labor out of tradables, and with diminishing returns this raises A's wage and non-tradable price. At given exchange rates A's nominal spending therefore rises by more (6.25 rather than 4 percent per unit of $d\log(1+\tau_{AB})$ at $\gamma = 0.5$ and US-like parameters), and part of the extra spending falls on the bystander's good. The effect works like a smaller domestic diversion margin, so **diminishing returns lower the bystander threshold**, but only modestly at the symmetric point: from 3.96 to 3.88 at $\gamma = 2/3$ and to 3.83 at $\gamma = 0.5$. The effect is larger when the bystander is small. With $L_C = 0.1$ and all other primitives symmetric, the threshold is 4.98 with linear technology, 4.43 at $\gamma = 2/3$ and 4.19 at $\gamma = 0.5$. In every case there is a single threshold for $\rho \in [1.05, 60]$, MML holds at it, and A appreciates against the target there. None of the sign results of the paper requires diminishing returns; the linear baseline delivers them.

D.3 Permanent trade imbalances

Balanced trade is a modelling choice, not a requirement of Eq. (2.3), which applies at any baseline. Suppose A receives a permanent transfer T_A, fixed in A's currency and paid by one partner, so that A's spending exceeds its income by T_A and equilibrium requires $\mathrm{TB}_i + T_i = 0$ for every i. Tariff revenue is rebated and trade is measured at border prices as before, and with $T = 0$ the model is the baseline (again confirmed to 10^{-12}). We set T_A to 3 percent of A's income, a US-scale deficit, at US-like parameters with $N = 3$ and otherwise symmetric primitives. Because A's import share of income is only 0.08, the deficit is large relative to trade, and financing it requires a baseline appreciation of A of about 15 percent against the paying country and 8 percent against the third.

The threshold structure is unchanged, but the deficit raises the bystander threshold from 3.96 to 4.94 when the surplus counterpart is the target B and to 4.61 when it is the bystander C. When B pays, A's imports tilt toward the cheapened target: C's share of A's imports falls from 0.50 to 0.45, and C's sales to A fall from one-half to 0.39 of its exports, so the bystander is less exposed to diversion from A's tariff. When C pays, the bystander is poorer and smaller in A's currency, which raises the threshold as a small bystander does in Section D.2. The effect is roughly linear in the imbalance: a deficit of 1 percent gives 4.21 (B pays) and 4.14 (C pays), and a surplus of 3 percent lowers the threshold to 3.46 and 3.56.

At 2025 tariff levels the size of the tariff dominates. For a discrete tariff $\tau_{AB} = 1.45$, the nominal bystander threshold is 2.70 at a balanced baseline (Section C.2) and 2.94–3.07 at the 3 percent deficit. For the real exchange rate q_{AC} the marginal threshold is higher, 4.93 at a balanced baseline (Proposition 3.5) and 5.64–6.33 with the deficit, but the discrete tariff again lowers it, to 3.19 at a balanced baseline and 3.42 (C pays) to 3.64 (B pays) with the deficit. Combining the real rate, the deficit and a tariff of 2025 size thus leaves the threshold below the free-trade nominal benchmark $3\rho_D = 3.96$.